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Lecture 2

Natural Order, Physiocracy and Reform

1. Aims of the lecture

1. To demonstrate the emergence in France during the first half of the eighteenth century of arguments over trade and regulation in relation to issues of food supply that moved away from comparisons of the "strength of a nation" and introduced arguments about the existence of a "natural order" in economic life.
2. To outline the early history of physiocracy through discussion of Quesnay's *Tableau Économique* and the associated *Maximes*, and show how these economic principles transformed in the course of the 1760s into a more general argument concerning natural order and good government.
3. To demonstrate that arguments about "free trade" in the early eighteenth century were related primarily to grain markets, but that by the 1780s these had transformed into general arguments about economic deregulation.
4. To show that the criticisms of the "physiocratic System" made at the time were uniform, limited and general, that its direct influence quickly waned, but that Quesnay's *Tableau* in the 1860s became an inspiration for Marx, and thence indirectly for both Soviet planning and early input–output models of the economy.

2. Bibliography

There are some older translations of physiocratic writings into English but they are not entirely reliable, belonging to a now-dated tradition that linked them to Marx and Marxist debates of the later nineteenth century: Ronald L. Meek, *The Economics of Physiocracy* (London: Allen & Unwin, 1962); Marguerite Kuczynski and Ronald L. Meek (eds), *Quesnay's Tableau Économique* (London: Macmillan, 1972).

There is a good modern edition of Quesnay's writings: François Quesnay, *Œuvres économiques complètes et autres textes*, two volumes, Christine Théré, Loïc Charles and Jean-Claude Perrot (eds) (Paris: Institut National d'Études Démographiques, 2005).

In addition, the writings of Quesnay and many others can be found online at http://gallica.bnf.fr (accessed 26 October 2017).

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1751	Quesnay elected to *Académie des sciences*
	Vincent de Gournay, *Intendant du commerce*
1755	Herbert, *Essai sur la police générale des grains*
	Cantillon, *Essai sur la nature du commerce en générale*
1756	Quesnay, "Fermiers" in Diderot and D'Alembert's *Encyclopédie*
1757	Quesnay, "Grains" in Diderot and D'Alembert's *Encyclopédie*
	Quesnay meets Mirabeau, author of *L'ami des hommes*
1758	Draft version of *Tableau Économique*
1763	Mirabeau and Quesnay, *Philosophie rurale*
1766	Turgot, *Réflexions sur la formation et la distribution des richesses*
1767	Du Pont de Nemours, *Physiocratie*
	Lemercier de la Rivière, *L'ordre naturel et essentiel des sociétés politiques*
1770	Galiani, *Dialogues sur le commerce des bleds*
1774–6	Turgot is *Contrôleur général des Finances*
1776	American Declaration of Independence, 4 July
1783	Treaty of Paris ends War of Independence
1786	The Eden Treaty
1789	Convening of Estates General in Paris

4. Lecture summary

The context

The oeconomists of the absolutist state, the so-called Mercantilists, regarded the economic life of peoples as the product of human government, a life whose purpose was attained by decree. The Physiocrats and Adam Smith, by contrast, claimed that the human world was governed by natural laws as immutable as those which ruled the world of plants and minerals; hence they considered all such government regulations to be disadvantageous restraints imposed upon the healthy development of economic life according to its own natural laws. Against the mercantilist system of prohibition and protection they set the principle of free trade; against the established orders of guilds and industrial monopolies they set free competition; against the remnants of the medieval agrarian constitution they set the necessity of completely free and partible landed property; against the system of commercial police they set that of unconditional commercial freedom.

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> Out of this Enlightenment confrontation there emerged Political Economy as a new science of the natural laws of human exchange, which was to achieve for human society something similar to that which Physics and Chemistry had accomplished for the entire material world.[1]

Bruno Hildebrand's characterization of the shift in thinking that took place in mid-eighteenth-century France follows Adam Smith's basic critique of regulation that put into general circulation the idea of "mercantilism", which, as suggested in our introduction, is a seriously flawed approach to any modern understanding of the diversity of economic writing in the seventeenth and early eighteenth centuries. It is flawed because it places the emphasis on "free trade" versus "regulation", obscuring the fact that free markets are also regulated markets. It is a question of different regimes of regulation, not of the presence or absence of regulation; economic and political liberty are predicated upon a robust state, not on its absence. Instead, the development of early modern economic literature is better approached in terms of a gradual shift from an empirical evaluation of existing states and their economies to a more abstract version of the same basic evaluation, but now organized in terms of general categories such as wealth, labour, growth and distribution. It is for this reason that Adam Smith's *Nature and Causes of the Wealth of Nations* should be treated as a synthesis of these new arguments developed in the course of the preceding 60 or 70 years, and not primarily as the baseline for a hitherto non-existent political economy.

All the same, Hildebrand does here capture the sense of novelty in physiocratic argument: that human activity was governed by natural laws, rendering active government direction of this activity redundant at best and harmful at worst. Furthermore, in the mid-eighteenth century the physiocrats identified agricultural production as the source of wealth, and so their argument about the natural laws of human conduct was doubled by the idea that this conduct was most profitably exercised in respect of the natural world. By contrast, they argued that activity devoted to manufacture was "sterile", producing at most its own subsistence, and not capable of supporting any but those directly engaged in manufacturing occupations. As we shall see, this assessment of manufacturing and agricultural activity came in for a great deal of criticism, but this critique overlooked the fact that the "sterility" of manufacture was the corollary of treating the natural world as the unique space in which the activity of humans produced more than the cost of their subsistence – a natural surplus.

It should already be apparent that these kinds of arguments have moved away from the empirical arguments of the seventeenth century into a new kind of discourse that sought, by using abstract reasoning, to identify the sources of wealth and the effects of its circulation. Following on from Boisguilbert's idea of an emergent balance between a buyer and a seller united by their self-interest and by the mutual assumption that one would buy what the other was selling, economic argument in France shifted from a discussion of the type of economic activities that should be promoted to an evaluation of the more abstract sources of wealth. When in 1734 Jean-François Melon published his *Essai politique sur le commerce*, this work was unusual for the way that it began with a chapter entitled "Principes", an abstract argument about exchange between three islands, each with the same number of inhabitants and producing only one good: grain or wool or wine (*boissons*). The same number of workers were engaged in production on each island and the product was sufficient for the three islands; trade in these products therefore arose, each island

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exchanging its own good equally for the two others. While each island produced only one good, it could consume three. From this premise, Melon then supposed that the island producing grain so improved production that it no longer needed to export its surplus, initially leading inhabitants of the other islands to migrate; but if the other islands properly understood their interests, then they would compel the island producing grain to sow more – exemplifying a "natural law" of nations.[2]

The work was soon translated into English, and the translator of the Dublin edition remarked in his preface:

> The Principles laid down by our Author will hold universally true in all Countries. It is certain that the Improvement of Agriculture, and other necessary and useful Industries; the Encrease of Inhabitants; and the procuring to the Society, a sufficient Quantity of the common Measure of Permutations, that is to say, Money and its representations, are the chief Objects of Care in every Country, where Polity and Commerce are not left to the Guidance of Chance.[3]

In fact, another Irishman, Richard Cantillon, had by the 1730s already drafted a treatise that would not only "hold universally true" but that considered the source of wealth, the genesis of markets, the value of land and of labour, the circulation of goods, the factors governing the rise and fall of population, the quantity of money, and the causes of fluctuation in interest rates, and which concluded with a discussion of foreign trade. While *Essai sur la nature du commerce en général* was first published in French in 1755, it appears to have been written – perhaps in English, perhaps in French – during the period 1728–30: before Melon's essay. Cantillon's essay opens with a clear statement of the nature of wealth: "Land is the source or the matter from which wealth is derived; labor is the form that produces it, and wealth is itself nothing other than food, commodities, and the comforts of life."[4] Fifty years later, describing the "nature" of the "wealth of a nation", Adam Smith opened with a version of the same affirmation:

> The annual labour of every nation is the fund which originally supplies it with all the necessaries and conveniences of life which it annually consumes and which consist always, either in the immediate produce of that labour, or in what is purchased with the produce from other nations.[5]

Cantillon's text marked a turning point in the assessment of national wealth, economic activity and trade, from an empirical appraisal of how a particular nation might best configure its resources to produce power and plenty, to a theoretical assessment of the sources of power and plenty in any nation. Moreover, the *Essai* appeared at the beginning of a sudden boom in economic writing that would last until 1789: while 85 books were published in France on economic topics during the decade 1740–9, in 1750–59 the total shot up to 349, continuing to increase until it reached 1,284 in 1780–89.[6] The less than straightforward publishing history of Cantillon's book provides us with a link back to arguments over economic regulation and reform in mid-century France that subsequently became increasingly intense.

Cantillon had become wealthy through his involvement with John Law and the Mississippi Company, being pursued by creditors after the bubble burst in late 1720 and, given his murky

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financial background, it remains possible either that he was murdered or that he faked his own death. A number of manuscript copies of the *Essai* survived, and excerpts in English from it found their way into Malachy Postlethwayt's *Universal Dictionary of Trade and Commerce*, which appeared in parts between 1751 and 1755.[7] At about the same time, Victor Riqueti, Count de Mirabeau (1715–89), had arranged for transcriptions to be made, and it was through this route that the *Essai* came to be published. This was because of Mirabeau's links to the circle around Vincent de Gournay (1712–59), who had become France's *intendant de commerce* in 1751, responsible for the oversight and enforcement of economic regulations and the collection of data. Gournay was at this time actively promoting the translation and publication of economic texts but was hampered by the existing French censorship laws. Cantillon's book therefore bore the address of a London bookseller who perhaps did not actually exist, and it is now accepted that the book was actually published in Paris.

Gournay was the only one of 31 *intendants de commerce* during the eighteenth century whose background was in trade rather than the law.[8] He is significant not as a writer himself, but as an intellectual entrepreneur, promoting discussion in a circle of around 20 members, many of whom had an academic or administrative connection, and among whom were Anne Robert Jacques Turgot (1727–81) and Véron de Forbonnais (1722–1800), both significant contributors to discussion of economic policy. One of the principal activities of those linked to the circle was the translation of several economic texts, chiefly from English and Spanish; or, more exactly, the publication of versions of foreign texts to which much had been added, some parts omitted, and the whole given a false place of publication, as with Cantillon. As Charles notes, the Gournay circle was a centre for authors who traded in economic ideas, moving discussion of policy out of ministerial and administrative offices into a new public space that could then be subsequently occupied by the physiocrats.[9]

One writer linked to the circle was Claude-Jacques Herbert (1700–58), who in 1753 anonymously published a tract reviewing grain regulation in France that began from the premise that the products of land were the real wealth of a nation, while any addition to these products of nature was merely conventional wealth. And yet, he went on, the French were more concerned with the products of art and science than with those of nature, and at times of shortage France had to go begging to its neighbours for its own subsistence. Herbert reviewed the long history of administered grain markets in France and saw the solution in liberty of commerce, but as he then immediately added, in a distant echo of Boisguilbert: "although we believe that we must limit it somewhat".[10] Commenting on the 1755 edition of the book, the Marquis d'Argenson (1694–1757) noted that only "complete liberty" could properly regulate commerce, agriculture and *mœurs*, that he had for 18 years been pursuing the idea that "to govern better, it was necessary to govern less", and that he had written a treatise upon this, the best principle being: "laissez faire!".[11] Although the couplet *laissez faire, laissez passer* has often been attributed to Gournay,[12] it was d'Argenson who linked the first of these terms to a general argument about good government. Oncken established that the first demonstrable use of the couplet was in a letter by Mirabeau published in the journal *Ephémérides du citoyen* in 1768, also noting that Turgot later added sections to his 1759 memorial to Gournay that attributed his own later ideas to Gournay.[13] However, even those

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around Gournay who adopted these principles were hesitant when it came to food supply, applying the idea primarily to internal trade, and not wholeheartedly to the import and export of grain.

Food supply, trade and regulation

For eighteenth-century France, grain was a staple product produced domestically, forming the basic foodstuff for the majority of the country's population. Grain *police* was the system by which the price of grain was regulated to assure that grain flowed from producer to consumer, deploying price ceilings, subsidies, the storage of grain or its distribution, together with straight coercion in some cases. These direct measures ensured that markets cleared but did not empty: "free trade" here meant the free movement of grain from the countryside to the city, and only secondarily the freedom for owners of grain to sell how, where and when they wished. There was a market in grain that looked as though it operated freely according to the play of demand and supply but that was in fact an ongoing work in progress on the part of local administrations.[14]

The *Tableau Économique*, first sketched by François Quesnay (1694–1774) in 1758, provided a representation of the basic relationships of production and consumption that drew on the principles outlined by Cantillon and others, in so doing lending emphasis to a fundamental feature of a grain-based economy: that there is an annual production cycle, the summer harvest providing both food for consumption over the subsequent year and seed to be sown for the new crop. Yields were low by present-day standards, and a substantial amount of any one harvest had to be set aside for sowing the following spring. Grain was therefore distributed through time and space: once harvested, grain had to be transported to its consumers and sufficient quantities had to be stored to cover consumption until the next harvest set the cycle off all over again. Local and regional markets, together with the activities of corn merchants, were important in the formation of grain prices that would effect this dual distribution, through space and through time.

The yield fluctuated from year to year: as adverse weather conditions spoiled sown crops or limited the growing season; or as ideal growing conditions contributed to bumper harvests. Since the domestic demand for grain was relatively inelastic, and there was only limited trade in grain across frontiers, the price fluctuations that resulted from variations in the annual harvest led to constant redistribution between domestic consumers and producers. If the harvest was poor, then prices rose, producers tended to do well, and consumers suffered; conversely, if the harvest was good, prices fell, consumers benefited, and farming profits were reduced. Hence in times of dearth the distribution of grain could become a political issue: the rise in prices squeezing the poor, and the physical movement of grain triggering unrest.

Grain security was a constant political problem; and the conventional wisdom was that the food supply was best secured by preventing any export. The idea that one country might become dependent on another through the regular import of grain trumped arguments that production could be permanently expanded and the food supply secured more readily if it were easier to trade in grain between nations. According to the former view, while it was advantageous to export any surplus that might arise, permitting imports could well undermine local production. It was in this context that the first arguments about "free trade" emerged: Boisguilbert had written of "freedom of trade in grain" but by this he meant the freedom to export, not to import. He argued that Colbert, by preventing the export of a grain surplus, lowered prices at home, and this favoured

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towns and manufactures at the expense of the rural population. Likewise, in 1739 the Procurator of Paris wrote of the need to make a greater effort to favour the "liberty of the grain trade", but he was referring to times when the harvests were good and not to times of dearth.

In his discussion of the regulation of the grain trade Herbert had argued that for all the government's attention to the distribution of grain, there was insufficient attention given to its cultivation, and this shifted the immediate centre of interest away from trade and towards production. Quesnay addressed these issues in his two contributions to Diderot and d'Alembert's *Encyclopédie, ou dictionnaire raisonné des sciences, des arts et des métiers*, 18 volumes (1751–72): "Fermiers" and "Grains".

"Fermiers" was published in 1756 as Quesnay's first foray into economic questions; he had previously published *Essai physique sur l'œconomie animale* (1736, 1747) and served as physician to Madame de Pompadour. Farmers, he began, were those who farmed and turned the products of the countryside into saleable goods, "procuring the wealth and resources that are most essential to the maintenance of the state", an occupation that therefore deserved the close attention of the government.[15] Agricultural activity was the province of farmers on the one hand and *métayers*, sharecroppers, on the other: the former used horses as draught animals, the latter oxen. Keeping ploughhorses was a significant outlay, and there were therefore regions where landowners could not find any farmers to let to, instead letting the land to peasants in return for one half of the crop. This kind of arrangement was less costly for the *métayer*, who leased oxen and equipment from the landowner. However, cultivation with oxen was a great deal slower than with horses, and Quesnay's subsequent review of French agriculture turned on this issue: the low productivity of cultivation with oxen. But in emphasizing the importance of large-scale cultivation, he noted that the price of grain was not only dictated by good or bad harvests, it was mainly the liberty of or constraint on trade that set its value. Preventing exports for fear of lacking grain in time of dearth itself limited the expansion of agriculture; here, England provided a counter-example:

> Freedom to sell our grain abroad is therefore an essential means, and even indispensable to revive agriculture in our kingdom; however, this sole means is not enough. It can be seen that, in truth, the cultivation of land procures much greater profits, but it is also necessary that the cultivator not be upset by arbitrary and indeterminate impositions.[16]

In "Grains", published the following year, Quesnay returned to these themes, arguing that while grain was the most important object of commerce, the production of luxury goods had become a major preoccupation. And in this context yet another aspect of "free trade" emerges:

> France can produce in abundance all the substances of primary need; it should only buy from abroad luxury goods; a mutual interchange between nations is necessary to sustain commerce. But we have primarily dedicated ourselves to the manufacture of and trade in products that we could draw from abroad; and through a tangled process of competitive exchange we have sought to harm our neighbours, and deprive them of the profit they would draw from us by the sale of their merchandise.[17]

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The background to the Tableau Économique

Appended to "Grains" was the first version of Quesnay's "Maxims of Economic Government", which articulates many of the principles that the *Tableau Économique* would illustrate. The first four of these were as follows:[18]

I. Human industry does not multiply wealth.[19]
II. Human industry contributes [through foreign trade] to population and the growth of wealth.
III. Human industry that occupies men to the prejudice of the cultivation of property is harmful to the population and to the growth of wealth.
IV. The wealth of cultivators brings about the wealth of cultivation.

There were 14 maxims in all, the last of them relating to the balance of trade between nations; but they all presupposed the agrarian origin of wealth and the advantages of free trade in the products of agriculture and industry.

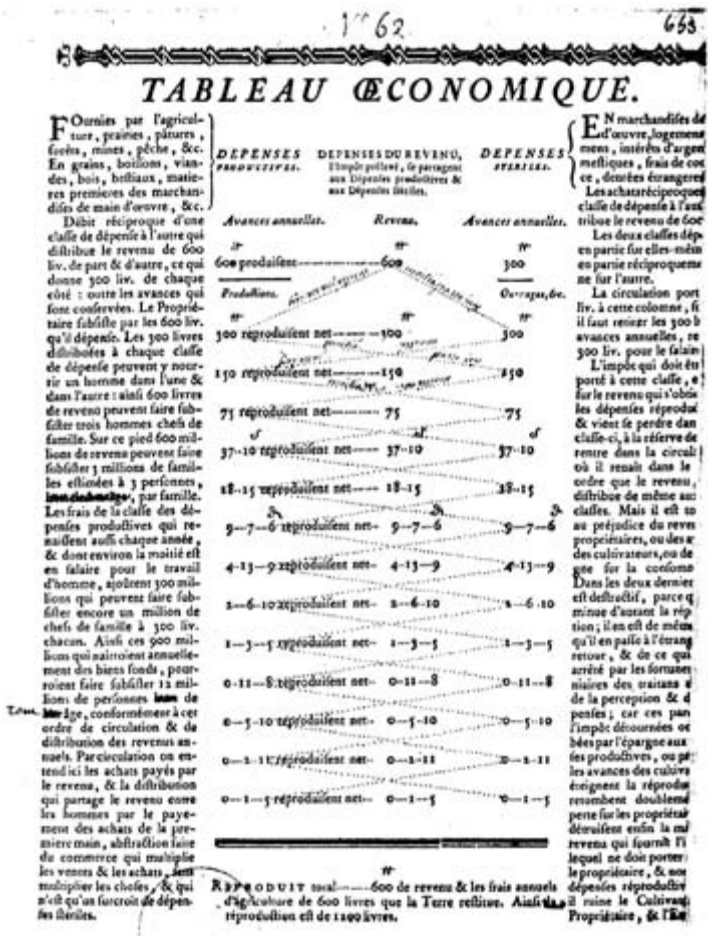
In 1756 Mirabeau had published *L'ami des hommes ou Traité de la population*, which used the idea of "population" to develop an argument about the centrality of agriculture to the creation of wealth and criticized Melon's positive view of luxury, stating that "Luxury is the abuse of wealth".[20] Subsequently, Quesnay persuaded Mirabeau that a large population was not the cause of wealth but its effect, and that therefore the proper object of analysis was not population but wealth. The sixth part of Mirabeau's *L'ami des hommes* in 1760 advocated this new viewpoint, and was devoted to an exposition of the *Tableau Économique*:

The *Tableau* was originally conceived as a printing exercise undertaken purely as a diversion: it is not, as in the English translation of 1758, an "economical table", a means for the calculation of product and its distribution, but more an "economic picture", a general representation of economic relationships. Nevertheless, in its graphic representation it encapsulates most of the characteristics later associated with physiocratic thinking.

1. There is an annual cycle that unites through their incomes and expenditures the three classes of society: farmers, landowners and manufacturers.
2. Agriculture is the unique source of value, which as it circulates between the classes is gradually dissipated.
3. Following each annual harvest, agricultural products would be exchanged for manufactured goods, so that the "sterile class" of artisans and manufacturers gained food and wine, while the "productive class" received in turn manufactured goods.
4. Landowners, who receive the entire net product of the land as rent, distribute the 600 livres of net produce from agriculture equally between the productive and sterile classes: to the agricultural sector as purchases of food and wine and to "sterile expenditures" for the manufacturers of luxury goods. The latter then in turn spend half of their income on food and wine and the other half on manufactured goods.
5. And so on through the year, until the entire system runs down to nothing and the next harvest starts the sequence once more.

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1762

653

TABLEAU ŒCONOMIQUE.

Fournies par l'agriculture, prairies, pâtures, forêts, mines, pêche, &c. En grains, boissons, viandes, bois, bestiaux, matieres premieres des marchandises de main d'œuvre, &c.

Débit réciproque d'une classe de dépense à l'autre qui distribue le revenu de 600 liv. de part & d'autre, ce qui donne 300 liv. de chaque côté : outre les avances qui sont conservées. Le Propriétaire subsiste par les 600 liv. qu'il dépense. Les 300 livres distribuées à chaque classe de dépense peuvent y nourrir un homme dans l'une & dans l'autre : ainsi 600 livres de revenu peuvent faire subsister trois hommes chefs de famille. Sur ce pied 600 millions de revenu peuvent faire subsister 3 millions de familles effimées à 3 personnes, par famille. Les frais de la classe des dépenses productives qui renaissent aussi chaque année, & dont environ la moitié est en salaire pour le travail d'homme, ajoutent 300 millions qui peuvent faire subsister encore un million de chefs de famille à 300 liv. chacun. Ainsi ces 900 millions qui naîtroient annuellement des biens fonds, pourroient faire subsister 12 millions de personnes de tout âge, conformément à cet ordre de circulation & de distribution des revenus annuels. Par circulation on entend ici les achats payés par le revenu, & la distribution qui partage le revenu entre les hommes par le payement des achats de la premiere main, abstraction faite de commerce qui multiplie les ventes & les achats, sans multiplier les choses, & qui n'est qu'un surcroît de dépenses stériles.

DEPENSES PRODUCTIVES. DEPENSES DU REVENU, l'Impôt prélevé, se partageant aux Dépenses productives & aux Dépenses stériles. DEPENSES STERILES.

Avances annuelles. Revenu. Avances annuelles.

600 produisent 600 — 300

Produits. Ouvrages, &c.

300 reproduisent net 300 300

150 reproduisent net 150 150

75 reproduisent net 75 75

37-10 reproduisent net 37-10 37-10

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9-7-6 reproduisent net 9-7-6 9-7-6

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REPRODUIT total 600 de revenu & les frais annuels d'agriculture de 600 livres que la Terre reflitue. Ainsi la reproduction eſt de 1200 livres.

En marchandises d'ouvrage, logemens, intérêts d'argent, meſſiques, frais de cot ce, données étrangeres

Les achats réciproques claſſe de dépenſe à l'aut tribue le revenu de 600

Les deux claſſes dép en partie ſur elles-mêm en partie réciproquem ne ſur l'autre.

La circulation port liv. à cette colonne, ſi il faut retirer les 300 l avances annuelles, re 300 liv. pour le ſalair

L'impôt qui doit êt porté à cette claſſe, e ſur le revenu qui s'obti les dépenſes réprodu & vient ſe perdre dan claſſe-ci, à la réſerve de rentre dans la circul où il renaît dans le ordre que le revenu, diſtribue de même au claſſes. Mais il eſt to au préjudice du reve propriétaires, ou des a des cultivateurs, ou de gne ſur la conſomm Dans les deux dernie eſt deſtructif, parce q minue d'autant la rép tion ; il en eſt de même qu'il en paſſe à l'étran retour, & de ce qui arrêté par les fortune niaires des traitans d de la perception & d penſes ; car ces pan l'impôt détournées or bées par l'épargne aux ſes productives, ou pa les avances des culti oreignent la réprodu reviennent doublem penſe ſur les propriétai détruiſent enfin la ma revenu qui ſoutenoit l'i lequel ne doit porter le propriétaire, & non dépenſes réproductiv il ruine le Cultivate Propriétaire, & l'Et

Figure 2.1 Quesnay's *Tableau Économique.*
Source: Bibliothèque nationale de France.

This structure would come to symbolize the physiocratic order: the division of society into three classes, where one class was productive (the agricultural class), another was sterile (manufacturing) in the sense that it produced no more than its own subsistence, with a third class, the landowners, whose income derived solely from the ownership of property.

The developments of the 1760s

The first full account of this new view of the agricultural foundations of wealth and circulation was published in Mirabeau's *Philosophie rurale* (1763), at least some of which was written by Quesnay. This contained further examples of the *Tableau*, and established a number of theses that went beyond the *Maximes* that Quesnay had published in 1758.

1. An emphasis on the natural foundations of economic activity, interference with which artificially stimulated the body politic to the detriment of the formation of wealth.
2. The source of wealth is agriculture: the net product circulates through the various classes of society; the greater this net product, the stronger the circulation and hence the greater the wealth.
3. Improvements to agriculture are therefore of critical importance to the progress of wealth, but improvement requires investment.

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4. Investment could only take place if the net produce was not in the course of its circulation diverted into unproductive ends, such as the production of luxury goods for landed proprietors.
5. Circulation within the kingdom should be free of the impediment that special taxes and duties presented.
6. Since all taxes were ultimately funded by the net product, such revenue as was deemed necessary should be drawn directly from product as a single tax.
7. Economic government should observe these natural laws; not only should it permit the free circulation of goods within the kingdom but there should be free trade in raw produce in exchange for the luxury goods of other nations.
8. Rather than seeking to protect domestic agriculture by the imposition of duties and prohibitions, agriculture should be subject to the stimulation that foreign trade could bring.
9. Luxury goods could therefore be obtained from overseas producers in exchange for the net product of French agriculture, preserving the equilibrium of the domestic economy while at the same time increasing the disposable net product.

And this came with a more expansive commentary upon the broader political implications of all this:

> The government of the Prince is not, as is commonly thought, the art of leading men; it is the art of providing for their security and for their subsistence through observance of the natural order and physical laws constituting the natural law and economic order, and by means of which existence and subsistence might be assured to Nations and to every man in particular; this object fulfilled, the conducting of men is determined, and each man leads himself.[21]

The connection back to arguments about self-interest and ethical conduct, originating in the seventeenth century with Pierre Nicole (1625–95) and carried into the eighteenth by Pierre Bayle (1647–1706), was then made with the assertion that: “All the magic of a well-ordered society consists in the fact that each works for others while believing that he works only for himself.”[22]

During the 1760s a number of other writers elaborated these ideas, their texts being collected and edited by Pierre Samuel Du Pont de Nemours (1739–1817) in a six-volume edition called *Physiocratie* (1768–9). This was the first use of the term to denote natural order, and it was subsequently made the label for adherents of this line of thought, hitherto known collectively as *les économistes*. Du Pont then in 1768 published a summary “origin and progress of a new science” that outlined the natural order as follows:

> There is therefore a natural and essential order to which social conventions are subordinated, and this order is the one that secures to men reunited in society the *enjoyment of all their rights through the observation of all their duties*. Exact and general submission to this order is the unique condition, so that each can expect and might hope in certainty for the participation of all in the advantages that society can procure for them.[23]

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This was associated with the idea of economic government: the rule of a natural order in which, one might say, the administration of people was replaced by the administration of things – a phrase attributed to Friedrich Engels some 100 years later, but which was first formulated by Saint-Simon in the early 1820s:

> Economic science being nothing but the application of natural order to the government of societies, it is also constant in its principles and as susceptible of proof as the most exact of the physical sciences. … The Science of Government will then be as simple and easy as it is today complicated. One glance at its principles will suffice to judge and appreciate each operation; the Administrators of peoples, immune from the faults of error and surprise, will be certain of procuring the happiness of men through the implementation of the invariant laws of the natural order.[24]

Free trade in grain, 1760–76

The arguments put forward by Quesnay and Mirabeau were not merely theoretical. In 1763 internal free trade in grain was adopted, and in 1764 this was extended to foreign trade, with some reservations. However, there were at the same time persistent poor harvests, and the resulting high prices could of course be attributed to the liberalization of the grain trade by those who favoured regulation. The result was that all of the new measures were repealed in 1770, and France went back to administered grain markets. In 1774 Turgot was appointed Contrôleur Général des Finances and free internal trade was resumed, coupled with the abolition of guilds and of compulsory labour services on royal estates (*corvée*).

This general evolution of policy matched the development of opinion. Through the 1760s the initial allure of physiocracy faded, and support for the administration of grain markets revived. In addition, by the later part of the decade there were some who were generally in favour of liberalization of grain markets but who considered the physiocrats and Turgot as dangerous and doctrinaire advocates of economic liberty. This was the context for the composition of Galiani's *Dialogues sur le commerce des bleds* (1770), the main thrust of his critique being that general theories cannot be applied to specific cases; instead, it is important to understand how these ideas might be applied and implemented. Galiani was not a critic of reform but of the increasingly dogmatic physiocratic version of reform – a distinction that later became overlooked.[25]

Turgot had drafted a treatise on the formation and circulation of wealth in the mid-1760s, and it was first printed in serial form in the journal *Éphemerides du Citoyen* from 1769–70. This was a sophisticated analysis of economic activity divided between two classes: the productive class working in agriculture and a "stipendiary" class working up goods in exchange for their subsistence. To these, in time, came to be added a class of proprietors. While formally similar to the physiocratic model, on top of this Turgot constructed a process of monetary circulation that could then include the formation of capital and the generation of profit. For the time, this was by far the most elaborated account of the mechanisms of circulation and wealth formation. And while his argument began from physiocratic foundations, he was in fact critical of these "men of system", and "enthusiasts", designations that are central to the closing section of his memorial on Gournay but which seem to have been added later. For Turgot, physiocrats were sectarians whose

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devotion to a particular analytical framework led them to unreflecting denial of all criticism, whether logical or empirical.

There are very strong echoes in Turgot's criticisms of physiocracy of the criticisms of "enthusiasm" that would later be levelled at David Ricardo: that "men of system" were more concerned to preserve the superficial coherence of their system than recognize its limitations. Faccarello's long essay on Galiani, Necker and Turgot turns on this problem, since the failure of free internal trade in grain during Turgot's brief period as Contrôleur Général, from 1774 to 1776, together with the "Flour War" of 1775 have often been blamed on his own intransigence as an "enthusiast". But although Turgot did write a treatise that accounted for the creation of wealth in a process of circulation between three economic classes, closer examination of his own activities as an administrator demonstrate that he was no "mere theorist". He laid emphasis on the fact that the liberalization of grain markets would bring about adjustments that would themselves be lengthy, so that a properly functioning free market would only gradually emerge.[26] While he shared, for example, Quesnay's evaluation of larger and small-scale farming, he considered that it would take a long time for the former to displace the latter and for a general market price to become established. Linked to liberalization of grain markets was the principle that to succeed fully, this had to be associated with liberalization in other markets, including labour markets.

Time was not on Turgot's side, and he was removed as Contrôleur in May 1776. But this was not the end of the association of reform with the dismantling of the regulatory framework governing internal and external trade. The Declaration of Independence adopted in Philadelphia on 4 July 1776 led to war between the American colonies, France and Britain, ending in 1783 with the Treaty of Paris. In the aftermath of this war, opinion in both Britain and France favoured the expansion of commerce as a means of securing peace; France especially sought to secure a larger share of trade with the United States, and in pursuit of this insisted on the conclusion of a new bilateral treaty with Britain. The French foreign minister, Vergennes, wrote to Calonne, Contrôleur Général des Finances, that "Nothing appears more desirable, and more conformable to [His Majesty's] principles, than a general freedom that would remove all obstacles to the circulation of products and merchandise of all different countries … making all nations one in commerce."[27] Vergennes had a rather older conception of power and plenty, seeking to exert pressure on the British government through commerce; once British merchants were reliant upon French markets, he thought, then these British merchants would be a powerful lever for French interests. In these terms, free trade was now something to be extended far beyond grain markets.

Dupont was among those advising the French government, acknowledging there could well be initial hardship but that the "natural course of things" would (eventually) bring about French prosperity. Plans were drawn up in France to subsidize industries likely to feel the blasts of British competition, but the sums involved were laughable – amounting annually to less than half of what Marie Antoinette spent on clothes during 1785.[28] The impact of the Eden Treaty on France was rapid and devastating; within three years the Intendant de Commerce acknowledged the broadly negative impact of the Treaty on French manufacturing and employment, and then in 1789 this translated into the widespread civil unrest that preceded the calling of the Estates General. The Constituent Assembly ploughed onwards, passing laws in 1791 that cumulatively dismantled the

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institutions that had overseen regulation, subsidies and trade statistics. Only in 1793, with the Terror, did the tide turn, beginning the restoration of a regulatory framework that then became the foundation upon which the post-Revolutionary order was built.

Criticisms of physiocracy

The European reception of physiocracy was generally delayed until the 1770s, and in making their criticisms writers reflected an appreciation of physiocracy as it had first developed in the early 1760s, some ten years previously. The more developed arguments about economic government and natural law made in the later 1760s were overlooked, and this is also true of the critique that Adam Smith made of Quesnay and physiocracy in his *Wealth of Nations* (Book IV, chapter ix). The three propositions that virtually all critics agreed were fallacious were as follows:

1. Agricultural labour was uniquely productive.
2. Manufacturing labour was unproductive, or "sterile" in physiocratic terminology, neither adding to, nor diminishing, wealth.
3. From the first two propositions it followed that all taxation should be levied directly on the net produce of agriculture in the form of a single tax – given the primacy accorded to agricultural production, any rationalization of the taxation system consistent with the model should be directed to the net produce of agriculture, and this alone, if tax efficiency were to be optimized.

These common points of criticism did not so much misrepresent physiocratic thinking as simply ignore the context that lent them force: lack of agricultural investment with corresponding inefficiency in the production of basic foodstuffs; and a tax collection system that had been subcontracted to private interests, obstructing the development of economic activity and forcing the state into increasing debt. Nor was this last criticism coupled with its corollary: that the natural order of economic government would have to be forcibly imposed. This created the paradox that the condition of free exchange arising from the interactions of men and women could only be the work of government.

Although the ideas of physiocracy had a subsequent twilight existence, by the early nineteenth century they had become a mere curiosity. However, in the mid-1860s Karl Marx rediscovered the *Tableau* and this appears to have inspired the reproduction schemes that dominate volume II of *Capital*, a work assembled from Marx's notes after his death in 1883. This in turn revived arguments about overproduction and under-consumption originally developed by Simonde de Sismondi in the 1820s, and became a core element in the development of Marxist theories of capitalist crisis. Then, in the early twentieth century, combined with the emergent general equilibrium model of Walras and Pareto, Soviet planners drew inspiration from the *Tableau* in their efforts to construct material balances for sectors of the economy. And, educated first in Leningrad, then in 1928 completing a PhD thesis in Berlin entitled "The Economy as Circular Flow", Wassily Leontief developed his economic models of input, output and circular flow in the US economy, opening a path for the application of linear programming to economic activity.

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kinds of argument he had already formed and any possible inflection of his thinking consequent on his time in France. Third, Cannan himself brought a thoroughly modern scholarly approach to the presentation of the lectures, providing a substantial introduction and annotating the text with explanatory footnotes. The same attention to detail marks his 1904 edition of *Wealth of Nations*.[13] Cannan pointed out that all previous editions had simply reprinted an unexamined text; his new edition, by contrast, was based on the final edition but collated with the first and for the first time making it possible to see where Smith had made changes to that original edition, and when he had done so. As for *Theory of Moral Sentiments*, this appeared in a modern scholarly edition for the first time in German,[14] and the work on this edition was so carefully done that it served as the foundation for work on the Glasgow edition itself.

And so by the early twentieth century there were at last scholarly editions of Smith's "two books", plus a set of lectures that enabled a connection to be made between them, given that *Theory of Moral Sentiments* was Smith's own version of part of his Glasgow lectures. However, until the later 1950s this corpus was still only the 1790 edition of *Theory of Moral Sentiments* plus Eckstein's editorial work of 1926, the 1904 Cannan edition of *Wealth of Nations*, the *Essays on Philosophical Subjects* of 1795, and Cannan's 1896 edition of the *Lectures*.

In 1958 two volumes of "Notes of [illegible]. Smith's Rhetorick Lectures" turned up at an Aberdeenshire auction, having originated in the private class that Smith had given on this topic in the academic year 1762/63. Published in 1963 as *Lectures on Rhetoric and Belles Lettres*, this provided additional insight into Smith's more literary interests, and the lectures that he had first delivered in Edinburgh. A further six volumes of student notes from Smith's later Glasgow lectures – delivered before the lectures already recorded in Cannan's edition – were then discovered; added together, these were first published as *Lectures on Jurisprudence*.

Consequently, the Glasgow edition, conceived to mark the bicentenary of the first publication of *Wealth of Nations*, and hence indicative of the priority still given to that text, turned out to provide the first opportunity to view all of Smith's extant writings together. You need only turn to the companion volume of essays also published in 1976[15] to realize just how resilient the idea then was that Smith was first and foremost the property of (modern) economists. The Glasgow edition now made it more possible to move argument on from a preoccupation with *Wealth of Nations* as the founding moment of modern economics, hence a book to whose understanding modern economics would have the most to contribute. The "new view" treated Smith as a writer who was both historian and critic of early modernity, linking the formation of sociability to the creation of wealth through conceptions of vanity, passions and interest, a conception that reached back to the late seventeenth century.

An overview of Smith's "political oeconomy"[16]

What does it mean to describe Smith as a historian and critic? Here our primary focus is on an understanding of *Wealth of Nations*, even though this is but one part of Smith's broader interests.[17]

The *Wealth of Nations* is a contribution to an eighteenth-century debate on the nature of commercial societies, and the degree to which the production and consumption of luxury goods

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might foster undesirable degrees of inequality. There was a broad discussion of the connections between commerce, luxury and the development of a "polished", commercial society that went beyond moral writers such as Hume and Montesquieu to include members of the literati like Jonathan Swift, Alexander Pope, Joseph Addison and Samuel Johnson.[18] A contemporary "modernity" was contrasted with the ancient virtues of the Greeks and Romans; in the same year as *Wealth of Nations* was published, the first volume of Edward Gibbon's *History of the Decline and Fall of the Roman Empire* appeared, tracing the way in which the Roman Empire had succumbed to barbarian invasion through the collapse of civic virtue. Eighteenth-century critics of modernity condemned the extension of commercial relations, arguing that the evolutionary path of commercial society was incompatible with virtuous conduct. They argued that the progress of societies brought with it social decay and corruption, undermining the foundations of political liberty. Furthermore, the anonymity of exchanges increasingly dominated by market relationships disengaged individuals from the social and political ties that had stabilized society. The advance of commercial society was thus argued to be a process that progressively undermined the moral order of which it was a part – a line of argument that is still regularly encountered today, from the older idea that television undermines family values to concerns about the reliance of young people on social media.

While not denying these arguments about the corruption of morals in a commercial society, and remaining very aware of the way in which this society was increasingly fragmented and polarized, Smith turned the argument around. He suggested that the extension of commerce also secured the advance of liberty; that the very impersonality of a market secured the liberty of the individual. No longer would an individual be dependent upon the whim of patronage or favour; the market created a network of mutually reinforcing, but anonymous, dependencies, so that the individual relied upon numerous unknown others who had no cause to either favour or disadvantage him or her. This was not, therefore, as was so long supposed in the twentieth century, a blueprint for commercial society based upon an amoral individualism, for there were internal mechanisms that promoted, rather than undermined, virtuous conduct. As the title of Hont and Ignatieff's book proclaimed, Smith argued that you could have wealth *and* virtue.

Nor did Smith ignore the problems that developed markets created. He anticipated that the extension of the division of labour, breaking down work into simple fragments, might tend to stultify the cultural and social development of the labouring poor. Likewise, he was aware of the manner in which the merchant and manufacturing classes might well take advantage of the unregulated nature of modern markets to combine against the public interest. The contribution of martial virtues to moral order through citizen militias was also undermined by the development of standing armies detached from civic life.[19] But on the positive side, commercial society generated both natural and artificial wants, of the mind as well as of the body, and there was here scope for endless refinement and emulation – it was the apparently limitless scope for this that provided the mechanism through which societies became wealthy.

The *Wealth of Nations* presents the "anatomy" of commercial society, a "political oeconomy" understood as the form of (economic) organization of the body politic. "Commercial society" became a new way of talking about liberty, using the language of political oeconomy.[20] Instead of wealth and commerce corrupting society through the encouragement of luxury consumption, the

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anonymity of the market promoted civil liberty. What we today understand as the science of economics originated in these tensions. A just society was one in which differences in wealth were secured, not one in which they were gradually eroded. The progress of commercial society was fostered by an effective administration of justice that would protect rights of property and hence uphold, not diminish, the inequalities that such rights of property implied. It has become routine to link Smith's arguments about the market with his metaphor of the "invisible hand", a term that is used but once in each of his two books (TMS IV.11.10; WN IV. ii.9). But the common assumption that this is a way of referring to market coordination entirely misses the point of Smith's arguments. The basic work of market-coordination rests, for Smith, on the account of human sociability that he had outlined in *Theory of Moral Sentiments*, and this sociability was therefore no mystery, no black box. Smith's "invisible hand" was instead an allusion to the invisible hand of God's Providence, God having made men and women both autonomous and sociable – a sociability that also included vanity and emulation: what Immanuel Kant would later dub "unsocial sociability".

And so we could say that *Theory of Moral Sentiments* is addressed to the moral order of commercial society, the structure of human conduct that secures its existence, and that *Wealth of Nations* provides an anatomy of commercial society expressed in the language of political oeconomy.

Furthermore, in the real historical context of the later eighteenth century, of predominantly agrarian societies reliant upon the annual domestic production of grain as outlined in lecture 2, it also becomes plain that Smith's arguments about his system of natural liberty were more a product of a political philosophy than something that might govern any existing economy. He wrote in the context of a predominantly agrarian order, in which ideas of free trade remained linked to arguments about the free movement of grain, not of all products and persons. Only with the conversion of his conception of "commercial society" into Saint-Simon's new idea of "industrial society" in the 1820s would the ideas of political and economic liberty converge, making possible a new argument about poverty, classes and emancipation.

Passions and interests

It is often thought that Smith's fundamental principle is that the selfish behaviour of individuals has beneficial outcomes, reconciliation of this paradox being effected by the workings of an "invisible hand". As pointed out above, this latter point is mistaken; but the idea that economic action is necessarily self-centred action is of course a very resilient one. We can judge more clearly how Smith reconciled individual and collective benefits by considering what Smith thought of Bernard Mandeville's account of self-interested behaviour. Mandeville formulated an argument rather like the one often attributed to Smith; but Smith explicitly rejected it.

The paradox of "Private Vices, Publick Benefits" was articulated in Mandeville's *The Fable of the Bees* (1714). Mandeville's fable suggested that, despite the vicious motivations of individual action, the public good was served by such action; and part of an earlier version from 1705 also imagined a situation where the hive abjured vice for virtue, with the result that spending declined, activity shrank and trade was consequently ruined. Mandeville argued that what had previously been considered amoral and asocial conduct had become part of the modern condition of

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affluence; and it was not the function of a well-ordered state to govern men whose growing opportunities for private gain created the conditions of contemporary prosperity. Cannan's "editor's introduction" in the 1904 edition[21] discussed Mandeville without making entirely clear that Smith vigorously stated his substantial criticisms of Mandeville in *Theory of Moral Sentiments*. Mandeville's argument suggests that the creation of wealth flows from the exercise of human passions, and not from their restraint. Hundert points out that it was David Hume who later criticized this idea and proposed that, instead of resulting from the guile of politicians, this redirection of destructive human passions was the spontaneous and unplanned product of social intercourse.[22]

Smith's innovation was to devise a mechanism that explained how this worked: that of the "impartial spectator", an idea that again has its roots in Mandeville's writings. In its initial form the concept was a theatrical one, coined by Joseph Addison in his journal *The Spectator* to describe the relationship between an enlightened "public" and the spectacle presented to them on the stage. The players represented the passions through standardized gestures; the impartial spectators are capable of distinguishing true acts from imposture. Mandeville, by contrast, denied that the code of politeness espoused by Addison was capable of distinguishing action and self in this way, and suggested that theatricality, role-playing and emulation were the basis of the growth of civil society and prosperity. Individuals would become divided personalities, adopting the different roles required of them in a rapidly changing world; they would become spectators of each other, adopting at will manners appropriate to the occasion: "I demonstrate that the Sociableness of Man arises only from Two things, *viz*. The multiplicity of his Desires, and the continual Opposition he meets with in his Endeavours to gratify them".[23] For Mandeville, an individual must therefore take account of the desires of others in seeking to attain his or her own ends, because these desires represent potential obstacles to the attainment of an individual's satisfaction. In *Theory of Moral Sentiments* Smith argued instead that individuals contemplated the motivations of others by imagining their own actions seen by another, creating a powerful form of social coordination.

"Interests" were therefore important in Smith's explanation of how actions translated into social and economic processes, but this explanation was much more sophisticated than the simple idea of "egoism" later attributed to Smith, an attribution first promoted by the mistranslation of his use of "self-love" as "egoism" in French and German editions of *Wealth of Nations*, and then taken over by modern economists.[24] Part of the problem here is that commentators have often failed to notice the care with which Smith used his language. In the following lecture we will show how paying closer attention to Smith's use of language helps us understand his arguments.

For example, when in a famous passage of *Wealth of Nations* Smith suggests that "It is not from the benevolence of the butcher, the brewer, or the baker, that we expect our dinner, but from their regard to their own interest. We address ourselves, not to their humanity but to their self-love, and never talk to them of our necessities but of their advantages" (WN I.ii.2), he is not necessarily equating "self-love" with "selfishness" as understood today. In fact, "self-love" has a more complex meaning in the mid-eighteenth century, running back to seventeenth-century French arguments about virtue, vice and interests of which Smith was well aware. Pierre Force points to the distinction between *amour propre* and *amour de soi*, a distinction made by Rousseau in his

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Discourse on the Origin and Foundations of Inequality among Men (1755), which Smith had read and made some notes on (EPS: 255–6), and which involves the important distinction between the human vice of excessive self-regard and the human need for self-preservation. In *Theory of Moral Sentiments* Smith refers to what Rousseau called *amour propre* as vanity, while *amour de soi* is rendered as "self-love".[25] These are two very different passions, both in nature and effect: self-love is a natural sentiment that inclines every animal to attend to its preservation and which, guided by man and modified by pity, produces humanity and virtue. *Amour propre*, by contrast, is only a relative sentiment, factitious, and born in society, which inclines every individual to set greater esteem for him or herself than for anyone else.

Pierre Force sums up the situation as follows:

> The notion that self-interest is a general explanatory principle in *The Wealth of Nations* must be doubly qualified. First, when we use the term self-interest as a synonym for the "desire to better our condition," we must remember that this desire is not grounded in natural selfishness (Smith's *self-love*, or Rousseau's *amour de soi*) but rather in which Smith calls *vanity*, or what Rousseau calls *amour-propre*. Second, the nearly universal nature of *vanity* or *amour-propre* is a historical consequence of the development of commerce and the division of labor.[26]

As we shall see in lecture 4, for Smith vanity was a powerful motivating force in creating the wealth of nations, but this was related to the positive effects of luxury consumption, not to the natural limitations of an individual's consumption of the wares of butcher, brewer or baker. And as we shall also see in lecture 4, while Smith's own Stoic tendencies would incline him to favour self-love as self-preservation, he was conscious that a society practising this kind of virtue would never become wealthy. And so it is in this way that he can be regarded as both historian and critic of commercial society.

5. Questions for discussion

1. What role did "commercial society" play in Smith's writings?
2. Why might it be thought that *Theory of Moral Sentiments* and *Wealth of Nations* were built on conflicting principles?
3. Why did Cannan's 1896 edition of the *Lectures* represent a turning point in our understanding of Smith's work?

1. Adam Smith to William Smith (his guardian), 24 August 1740, Oxford, Letter 1, *Correspondence*, 1.
2. Adam Smith to Charles Townshend, 26 August 1766, Compiègne, Letter 94, *Correspondence*, 115.
3. David Hume to Adam Smith, 20 August 1769, Edinburgh, Letter 121, *Correspondence*, 155.
4. Smith, *Essays on Philosophical Subjects*, 273–7.

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3. Chronology

1759	*Theory of Moral Sentiments* (TMS)
1761	Second edition of TMS
1763	Early draft of *Wealth of Nations* (WN)
1767	Third edition of TMS
1774	Fourth edition of TMS
1776	*Wealth of Nations*
1778	Second edition of WN
1784	Third edition of WN
1786	Fourth edition of WN
1789	Fifth edition of WN
1790	Sixth edition of TMS

4. Lecture summary

Our purpose here is to provide an introduction to the history of economics, so this account of Adam Smith's work is constructed from that perspective. *Theory of Moral Sentiments* is a work of moral philosophy, taking up arguments developed since the later seventeenth century by Nicole, Rochefoucauld and others – arguments that are of great intrinsic interest and relevance, but beyond our immediate concerns. As a work of moral philosophy, however, the book necessarily includes discussion of the nature of human sociability, and it is this aspect that we emphasize below, since it provides an insight into the foundations of Smith's arguments in *Wealth of Nations*. To convey a direct sense of how Smith builds his arguments in *Theory of Moral Sentiments* we provide a summary of those parts that are relevant here using linked passages. For *Wealth of Nations* we instead provide a conspectus, summarizing the terms of Smith's arguments chapter by chapter.

As will become apparent, both books are carefully constructed. Smith was very consistent and precise in his use of language, and proper attention must be given to this. Starting at the latest with his French translator Garnier in 1802, it quickly became accepted that *Wealth of Nations* was a rather diffuse, rambling and in places confused work.[2] Just as the early editors of *Wealth of Nations* saw their prime task as being the identification of Smith's errors,[3] the text has too often been approached with preconception and prejudice. But while Smith does indulge in rather long-winded expositions (but apologizes for this, e.g. WN IV.i.34, IV.iii.b.17), he used his language carefully.

The Theory of Moral Sentiments

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The Theory of Moral Sentiments was first published in 1759. It went through five editions before the substantially revised sixth edition was published in 1790. The "Dissertation on the Origin of Languages" was added to the third edition (now printed in LRBL, 201–26). The first edition was developed from lectures to students;[4] revisions to the second edition were largely a response to criticism; those to the sixth edition followed from Smith's wider reading. Smith provides an outline of these changes in the "Advertisement" to the sixth edition, which is printed as page 3 of the Glasgow edition. We should remain alert to the fact that when we read the Glasgow edition the main text is the sixth edition of 1790, which is not exactly how the book looked in 1759.

The sixth edition of *Theory of Moral Sentiments* is in seven parts, beginning with "Of the Propriety of Action" and ending with "Of Systems of Moral Philosophy". The very first chapter deals with the important conception "Of Sympathy": not in the modern sense of compassion, but rather in the capacity to put ourselves in the place of others and imagine how we would feel in their situation. Smith develops a general system of social reciprocity: each of us judges others as spectators, while others do likewise to us. Society is a mirror in which our actions are rehearsed, our consequent conduct governed by an internalized construct that evaluates our action as we imagine an "impartial spectator" would. The Smithian conception of self-interest is not a licence to act egoistically and without moral scruple, safe in the knowledge that by doing so the public good would somehow or other result; our own self-interest is inscribed in a network of self-interested behaviours.

Part I, chapter 1 opens with the following statement (I.i.1.1):

> How selfish soever man may be supposed, there are evidently some principles in his nature, which interest him in the fortune of others, and render their happiness necessary to him, though he derives nothing from it except the pleasure of seeing it. Of this kind is pity or compassion, the emotion which we feel for the misery of others, when we either see it, or are made to conceive it in a very lively manner.

"Compassion" is one form of sympathy, and is not equivalent to it (I.i.1.2): "As we have no immediate experience of what other men feel, we can form no idea of the manner in which they are affected, but by conceiving what we ourselves should feel in the like situation." It is not just the sufferings of others that involve such fellow-feeling, for we share with others both grief and happiness (I.i.1.5): "Sympathy … may now … be made use of to denote our fellow-feeling with any passion whatever."

In I.i.1.4 this relationship is redescribed as being between a "spectator and the person principally concerned", summarized at the opening of chapter 5 as a clearly reciprocal relationship (I.i.5.1):

> Upon these two different efforts, upon that of the spectator to enter into the sentiments of the person principally concerned, and upon that of the person principally concerned, to bring down his emotions to what the spectator can go along with, are founded two different sets of virtues. The soft, the gentle, the amiable virtues, the virtues of candid condescension and indulgent humanity, are founded upon the one: the great, the awful

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> and respectable, the virtues of self-denial, of self-government, of that command of the passions which subjects all the movements of our nature to what our own dignity and honour, and the propriety of our own conduct require, take their origin from the other.

From this point the discussion turns to virtue, propriety and the passions: social, unsocial and selfish. Because others are more inclined to sympathize with our happiness than with our misery, we tend to show off our wealth and conceal our poverty (I.iii.2.1):

> It is chiefly from this regard to the sentiments of mankind, that we pursue riches and avoid poverty. For to what purpose is all the toil and bustle of this world? What is the end of avarice and ambition, of the pursuit of wealth, of power, and pre-eminence? Is it to supply the necessities of nature? The wages of the meanest labourer can supply them. We see that they afford food and clothing, the comfort of a house, and of a family. If we examined his oeconomy with rigour, we should find that he spends a great part of them upon conveniences, which may be regarded as superfluities, and that, upon extraordinary occasions, he can give something even to vanity and distinction. … From whence, then, arises that emulation which runs through all the different ranks of men, and what are the advantages which we propose by that great purpose of human life which we call bettering our condition? To be observed, to be attended to, to be taken notice of with sympathy, complacency, and approbation, are all the advantages which we can propose to derive from it. It is the vanity, not the ease, or the pleasure, which interests us. But vanity is always founded upon the belief of our being the object of attention and approbation.

Notice here that Smith is already in 1759 making a distinction between “necessaries” and “conveniences”, in order to propose that the need for the former can easily be met while the greater part of human activity is dedicated to the acquisition of “conveniences”. This is exactly the point from which *Wealth of Nations* will begin: that the acquisition of “conveniences” is driven by human vanity and emulation, not by basic needs. We find in *Theory of Moral Sentiments* an extended argument about a proposition that is simply taken as read in *Wealth of Nations*.

Rather than develop this proposition in the direction of the accumulation of wealth, as he would do in *Wealth of Nations*, in *Theory of Moral Sentiments* Smith considers the way in which it is a source of corruption for our moral sentiments. We wish, Smith maintains, to be both respectable and respected, but we soon learn that wisdom and virtue are not the sole objects of respect: the rich and the powerful are also respected (I.iii.3.2): “To deserve, to acquire, and to enjoy the respect and admiration of mankind, are the great objects of ambition and emulation.” Even the vices and follies of the rich and powerful become objects of fashion (I.iii.3.7), leading to a general corruption of men and of governments. How in these circumstances might a virtuous life be possible?

This issue is taken up in Part II, which deals with merits, rewards and punishments, extending the review of moral actions into our sense of propriety and impropriety, and of justice. These are human qualities (II.ii.3.1):

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> It is thus that man, who can subsist only in society, was fitted by nature to that situation for which he was made. All the members of human society stand in need of each others assistance, and are likewise exposed to mutual injuries. Where the necessary assistance is reciprocally afforded from love, from gratitude, from friendship, and esteem, the society flourishes and is happy.

Not that this is necessary for society to function (II.ii.3.2):

> Society may subsist among different men, as among different merchants, from a sense of its utility, without any mutual love or affection; and though no man in it should owe any obligation, or be bound in gratitude to any other, it may still be upheld by a mercenary exchange of good offices according to an agreed valuation.

Society can therefore exist without "beneficence", so long as there is justice; but without either it will tear itself apart (II.ii.3.4).

Part III considers our judgements regarding our own sentiments and conduct, and here we return to the idea of the "spectator" introduced in Part I. Our approval of the conduct of another person is governed by the degree to which we can sympathize with the "sentiments and motives that directed it" (III.1.2):

> We can never survey our own sentiments and motives, we can never form any judgment concerning them; unless we remove ourselves, as it were, from our own natural station, and endeavour to view them as at a certain distance from us. But we can do this in no other way than by endeavouring to view them with the eyes of other people, or as other people are likely to view them. … We endeavour to examine our own conduct as we imagine any other fair and impartial spectator would examine it.

So we have moved from the idea of our being a spectator to another's circumstances to the idea that we regulate our own conduct according to the way in which we imagine an impartial spectator would view it. Society provides the mirror in which we are able to judge the propriety or impropriety of our own actions (III.1.5): "We suppose ourselves to be spectators of our own behaviour, and endeavour to imagine what effect it would, in this light, produce upon us. This is the only looking-glass by which we can, in some measure, with the eyes of other people, scrutinize the propriety of our own conduct."

And so we are all divided into two persons: one the spectator, whose sentiments we surmise by placing ourselves in its position, and regarding our own conduct from that perspective; and the agent, I myself, whose conduct is judged (III.1.6). Individual conduct becomes enmeshed in a network of reciprocities that makes it difficult for any one individual to act on the basis of purely egoistic self-interest. As Smith pointed out, we do not have to love our neighbour, but we do have to engage with them on the basis of justice and moral conduct, conceptions that we internalize through the mechanism of the impartial spectator.

Part IV considers the "Effect of Utility upon the Sentiment of Approbation". In the first chapter Smith imagines a poor man's son "whom heaven in its anger has visited with ambition" (IV.1.8): who admires the rich and despises his father's cottage, who wishes to ride on horseback

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rather than walk. He imagines that, if these things were achieved, he would be content: “He is enchanted with the distant idea of this felicity.” But in seeking ease he quickly submits himself to such “fatigue of body and unease of mind than he could have suffered through the whole of his life from the want of them”. He labours to acquire talents, to display his talents, to find employment for them. In so doing he sacrifices the tranquillity for which he strives, only perhaps in old age to realize with its attainment that it is “in no respect preferable to that humble security and contentment which he had abandoned for it” (IV.1.8).

Here we find echoes of the Stoic philosophy that so influenced Smith, a critique of the useless pursuit of the superfluous here attributed to the whims of Providence. But this is not simply a critique of what would later become known as “conspicuous consumption”. For a couple of pages further on Smith changes tack, and argues (IV.I.10):

> And it is well that nature imposes upon us in this manner. It is this deception which rouses and keeps in continual motion the industry of mankind. It is this which first prompted them to cultivate the ground, to build houses, to found cities and commonwealths, and to invent and improve all the sciences and arts, which ennoble and embellish human life; which have entirely changed the whole face of the globe, have turned the rude forests of nature into agreeable and fertile plains, and made the trackless and barren ocean a new fund of subsistence, and the great high road of communication to the different nations of the earth.

It is this ambition and vanity that is the motive power of wealth and accumulation, the subject matter of *Wealth of Nations*. And it is also linked to a conception of the natural limitations of conspicuous consumption: that you can only eat so much, you can only wear one set of clothes at a time, you can only be in one place at a time. The richest landlord can eat no more than the humblest peasant (IV.I.10):

> The rest he is obliged to distribute among those, who prepare, in the nicest manner, that little which he himself makes use of, among those who fit up the palace in which this little is to be consumed, among those who provide and keep in order all the different baubles and trinkets, which are employed in the oeconomy of greatness; all of whom thus derive from his luxury and caprice, that share of the necessaries of life, which they would have in vain expected from his humanity and justice.

In this context the “invisible hand” makes its one appearance in *Theory of Moral Sentiments*: the limitation of the human capacity for consumption, and the employment of many people to further that consumption, secures a redistribution of that which the rich seek for themselves – the work of the hidden hand of Providence (IV.I.10):

> The rich only select from the heap what is most precious and agreeable. They consume little more than the poor, and in spite of their natural selfishness and rapacity, though they mean only their own conveniency, though the sole end which they propose from the labours of all the thousands whom they employ, be the gratification of the own vain and insatiable desires, they divide with the poor the produce of all their improvements. They

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> are led by an invisible hand to make nearly the same distribution of the necessaries of life, which would have been made, had the earth been divided into equal portions among all its inhabitants, and thus without intending it, without knowing it, advance the interests of the society, and afford means to the multiplication of the species. When Providence divided the earth among a few lordly masters, it neither forgot nor abandoned those who seemed to have been left out in the partition. These last too enjoy their share of all that it produces. In what constitutes the real happiness of human life, they are in no respect inferior to those who would seem so much above them. In ease of body and peace of mind, all the different ranks of life are nearly on a level, and the beggar, who suns himself by the side of the highway, possesses that security which kings are fighting for.

Part V is short, with only two chapters, considering the influence that custom and fashion have on the sentiments of moral approbation and disapprobation. In the 1790 edition it is followed by Part VI, "Of the Character of Virtue", beginning with the behaviour of "the prudent man", the manner in which individuals come to care for themselves and their family, and the nature of self-command. Unlike earlier passages, this part first mainly concerns positive forms of conduct until the discussion comes to self-estimation, and the way in which some degree of excessive self-admiration is necessary for political success (VI.iii.28). While the part begins with "the prudent man", it draws to a close with discussion of "the man of excessive self-estimation", and his variants, the proud and the vain man, concluding with the work of the passions and the need for self-command.

Part VII, finally, reviews systems of moral philosophy, and is significant here for the clear position that Smith adopts with respect to Mandeville's argument about "private vices and public benefits", a system that, he suggested, seemed to remove the distinction between vice and virtue that he had so carefully constructed. The chief problem, Smith suggests, is that Mandeville interpreted all human action, of whatever kind, as being the result of self-interest, of vanity (VII.ii. 4.6). Smith opposes this simple and reductive argument (VII.ii.4.12):

> It is the great fallacy of Dr. Mandeville's book to represent every passion as wholly vicious, which is so in any degree and in any direction. It is thus that he treats every thing as vanity which has any reference, either to what we are, or to what ought to be the sentiments of others: and it is by means of this sophistry, that he establishes his favourite conclusion, that private vices are public benefits.

Besides making clear his objection to the way that Mandeville ran together behaviour that was truly vain with the laudable desire to make ourselves "the proper objects of honour and esteem" (VII.ii.4.9), this concluding criticism of Mandeville once more carries implications for how we might understand Smith's conception of human conduct and its relationship to the creation of wealth. Elaborating this was the purpose of *Wealth of Nations*.

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An Inquiry into the Nature and Causes of the Wealth of Nations was first published on 9 March 1776 in a two-volume quarto edition: in modern terms, more a coffee-table book than a normal paperback. The third edition of 1784 was a three-volume octavo edition revised by Smith, a format that would in the nineteenth century become standard for popular novels. Neither of the two further editions of 1786 and 1789 were revised by Smith.

The Glasgow edition of *Wealth of Nations* is based on the third edition of 1784; later variations are the result of changes made by setters, not by Smith (note the comments made on the Cannan edition in the previous lecture).[5] The main change to the third edition was the addition of a new chapter to Book IV (WN IV.viii), "Conclusion of the Mercantile System", which gathers together the strands of his argument before moving on to his critique of the "Agricultural School".

There is an "Early Draft" for the *Wealth of Nations*, first published in 1937[6] and probably composed in early 1763. This opens with a discussion of the manner in which the division of labour enhances productivity and is the principal explanation of the difference between primitive and commercial societies (LJ: 561–81). It includes the example of the pin factory (LJ: 564–5); a description of the human propensity "to truck, barter, and exchange one thing for another" (LJ: 570–71; cf. WN I.ii.1); the point that no one ever saw a dog make a fair exchange of a bone with another (LJ: 571; WN I.ii.2); and the famous passage "It is not from the benevolence of the butcher, the brewer, and the baker that we expect our dinner, but from their regard to their own interest. We address ourselves not to their humanity but to the self love, and never talk to them of our own necessities but of their advantages" (LJ: 571–2; cf. WN I.ii.2). It also includes a brief overview of the contents of Book I, some remarks relating to what became the critique of the mercantile system in Book IV, and elements of Book III. The chief significance of this fragment is to demonstrate that Smith had already drafted the main lines of the argument for *Wealth of Nations* by the early 1760s, most probably because this also formed part of his lectures.

As noted in lecture 2, *Wealth of Nations* is best understood as a brilliant synthesis and transformation of existing arguments; however, the main lines of Smith's argument, and the fact that this was such a reworking, were quickly lost to view. The book has most often been read as the canonical foundation for the political economy that followed it, entirely overlooking the fact that the political economy of the early nineteenth century simply ignored most of the arguments that Smith had so carefully constructed (see lecture 5). Likewise, the way that Smith drew on existing material was quickly obscured; this material now became "pre-Smithian", if not "mercantilist", picking up on Smith's terminology in Book IV and applying it uncritically to everything published before the 1770s. Since *Wealth of Nations* synthesizes French and English material and places it within an entirely new argument, we could better isolate this argument by identifying these earlier sources and determining exactly where Smith diverged from them. This is a complex philological task yet to be undertaken, but three brief examples can indicate what it might involve.

First of all, Smith was clearly indebted to arguments already made by David Hume. In his essay "Of Commerce" (1752), Hume had recapitulated the familiar propositions concerning the strength of a nation related to classes of activity (husbandmen, manufacturers, merchants), while also noting that "Every thing in the world is purchased by labour; and our passions are the only causes of labour."[7] Further, Hume also suggested that foreign trade augmented both the power of

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the state and the happiness of its subjects, acquainting them "with the *pleasures* of luxury and the *profits* of commerce", arousing their interest and stimulating their industry:

> And this perhaps is the chief advantage which arises from a commerce with strangers. It rouses men from their indolence; and presenting the gayer and more opulent parts of the nation with objects of luxury, which they never before dreamed of, raises in them a desire of a more splendid way of life than what their ancestors enjoyed.[8]

As we have seen in lecture 3, Smith believed that in a commercial society men and women could very easily meet their immediate needs, a line of thought that meshed with a Stoic dismissal of worldly acquisitiveness. But he also argued, using Hume's insight here about luxury consumption, that the "wealth of nations" was created by this passion for ever-extending acquisitiveness, and that a society made up of individuals whose want for necessities was satisfied would never be wealthy.

Second, *Wealth of Nations* is rightly famous for placing the idea of the division of labour at the centre of an argument for prosperity, but even then this was not an idea that was entirely novel. As presented by Smith, the division of labour, by breaking down the production of any item into its constituent parts and assigning each part to one person, greatly enhanced labour productivity and so led to an overall increase in output as compared with a situation where one person completed all these operations. His example was that of a pin factory, where instead of one person at work making pins, ten men each completed part of the work and so together massively increased the sum of what ten individuals could have achieved by themselves (WN I.i.3). His example seems to have come from Diderot's *Encylopédie*; while in 1701 Henry Martyn, without using the term "division of labour", made a very similar argument in relation to the production of a watch, where "'tis possible for one Artist to make all the several Parts, and at last to join them altogether", but if demand were so great "as to find constant imployment for as many Persons as there are Parts in a Watch", then the productivity of each would be greatly enhanced.[9]

Third, while Smith adhered to the idea, dating from Cantillon and argued by Hume, that the source of all wealth was labour, he added to this a distinction between productive and unproductive labour; a distinction which was aligned with the distinction between material goods and services of any kind. As we shall see, this was closely related to his argument regarding the wealth of nations, but the formal distinction was not a new one. In Quesnay's *Tableau Économique* the distinction of agricultural labour from manufacturing labour turned on the idea that in the former human labour acted as the midwife to nature's bounty, while the application of human industry to the latter resulted only in the reproduction of the labourer and his or her family. Accordingly, the former was "productive" labour and the latter "sterile". Smith and many others criticized this line of argument, but Smith adopted the idea of distinguishing between productive and unproductive human labour and gave it a new content linked to his more general argument regarding productivity and the capacity to exchange material goods produced with human labour.

Any writer inevitably builds upon previous writing, whether consciously or unconsciously, positively or negatively; only quite recently has it become usual that such sources are acknowledged explicitly and in full, courting accusation of plagiarism by failure to do so. This was, however, neither the practice nor the expectation when Smith was writing; classical allusions

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were still a rich source of argument (as in Hume's "Of Commerce", for example) and it was understood that a writer reworked materials from a common corpus. To identify the materials with which Smith built is not in any way to detract from what he achieved, but rather to make his actual novelty more explicit.

A final point is that many of Smith's central ideas in *Wealth of Nations* are exposed in very brief passages or formulations whose significance is easily overlooked. There is no hidden meaning; rather, it is very easy to miss these brief passages in such a large book. The explanation for such brevity is that, in most cases, Smith had either already exposed the idea at length in *Theory of Moral Sentiments* or quite probably had in mind a more detailed treatment in later work that he never published – specifically, the treatise on law and government to which he referred in later editions of *Theory of Moral Sentiments*. So it is that Smith's key formulations concerning his system of natural liberty, and the relation of policy to his natural system, are to be found in a few sentences of Book IV, chapter ix and not, as might be expected, more prominently in the early pages. By contrast, Smith does provide an introduction that in a few short paragraphs introduces his key ideas, but most readers seem to move straight to the first chapter and never notice what Smith does here. This is where our conspectus begins.

"Introduction and Plan of the Work"

Smith prefaced his book with *his own* account of what the reader would find in the following pages. In nine succinct paragraphs Smith does indeed provide an "introduction" (paragraphs 1–4) and a "plan" (5–9; one paragraph for each book). It might be noted that few of the things for which Smith is today "well-known" – the "invisible hand", laissez-faire, self-interest, free markets – are mentioned here.

The first paragraph is one sentence and establishes that the "necessaries and conveniences" of life that are annually consumed are the product of labour, whether directly of domestic labour, or indirectly, using the product of that labour to import goods from other nations. This is the "nature" of the wealth of a nation. Hence the focus is on a national economy, its annual produce, and by extension providing a yardstick with which we can measure the growth of that national economy. Hitherto the strength of a nation was determined by comparing one nation with another; now it became possible to compare the present condition of one nation with its previous condition.

In the second paragraph the annual produce is related to the number of its consumers; and so rather than assume that the larger the population, the more wealthy a country would be, Smith "proportioned" the annual product to the population.

The third paragraph notes that this proportion is affected firstly by the skill and productivity of labour, and secondly by the proportion between productive and unproductive labour. This holds true whatever the geographical or climatic situation of the nation, and is the "cause" of the wealth of a nation.

Next Smith asserts that of these two factors – labour productivity and the proportion between productive and unproductive labour – it is the first that is most important: that a society of hunters and gatherers will always be less wealthy than "civilized and thriving nations". In the latter there may be many who either do not labour, or who are unproductive labourers; nonetheless, these nations are so wealthy that they are in a position to provide for even the poorest.

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This concludes the book's introduction, and we can emphasize two implicit points. Smith talks in the first paragraph of "necessaries and conveniences", and means something very precise: necessaries are those goods necessary to support life, whereas conveniences are those goods that make life worth living: what we might call "luxuries". He assumes here the argument from *Theory of Moral Sentiments* about vanity and emulation, and argues that the wealth of a commercial society depends upon the desire for, and consumption of, "conveniences", or luxuries. Correspondingly, while he distinguishes productive labour ("those who are employed in useful labour") from unproductive in respect of whether the product is material or not – since an immaterial service cannot be the object of trade, in his view – the wealthier the society, the greater the amount of unproductive labour that it could support. Far from Smith only seeing the virtue in personal economic gain, for him a wealthy and civilized society was one that could afford to support the arts and culture, not a society dedicated to the relentless pursuit of profit.

Smith then turns to the "plan" of *Wealth of Nations*. It is divided into five books, and in paragraph 5 Smith briefly describes Book I as dealing with the improvement of society attributable to the productivity of labour, and with the distribution of the fruits of that labour.

Book II is then described as being about the distribution between productive and unproductive labour, something that is proportionate to the amount of stock or capital that sets useful labour to work. "Capital" is therefore primarily a material concept: an accumulation of the resources necessary to put people to work. The greater the amount of stock, the greater the number that can be set to work.

Having dealt with the immediate causes of the wealth of any nation, in paragraph 7 Smith then turns to Book III, which considers the general progress of nations since the fall of Rome, and the relationship between the development of towns and that of the countryside. As he notes, in Western Europe it is the manufacturing and commerce of the towns that has set the pace, not the "industry of the country", agriculture. This, he will later argue, is an "unnatural and retrograde order".

Book IV then considers the development of policy and arguments about policy. Entitled "Of Systems of political Œconomy", it transpires that there are two such systems: the mercantile system, to which all but the final chapter is devoted; and the agricultural system. Here, in paragraph 8, Smith makes an interesting, if not fatal, misrepresentation of what the reader will find in Book IV: he states that his discussion of the mercantile system centres on theories of political œconomy that have magnified the importance of the industry of the towns, manufacturing and commerce. This suggests that Smith is going to review the literature of political œconomy in Book IV, but in fact he barely touches on this, and the bulk of his discussion is devoted to various forms of economic regulation. By contrast, discussion of the "agricultural system", or physiocracy, is conducted exclusively in terms of its arguments.

The final book deals with the incomes and expenditures of the state: how income should be raised and how it should be expended. The concluding part examines the contemporary problem of public debt: why governments have been induced to become indebted, and what effect this might have on the real wealth of society: "the annual produce of the land and labour of that society".

Smith does not draw attention in this "Introduction and Plan" to something that will only become obvious at the end of Book II: that the five books of *Wealth of Nations* represent three stages of an argument: first, the presentation of the conceptual framework governing economic

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activity and the creation of wealth; then two books on the ways in which the path to opulence has been diverted or delayed; and finally, the longest book, on the sources of income for a state, and its proper expenditure. Books I and II lay out a natural order of development that, in Books III and IV, is shown to have been undermined first by the economic development of town and country during the period following the fall of the Roman Empire and then, in modern times, by legislation that sought artificially to favour one class of economic activity over another. Books III and IV are therefore closely linked as part of a continuous argument about what Smith calls "an unnatural and retrograde order" (II.i.9).

"Book I. Of the Causes of Improvement in the Productive Powers of Labour, and of the Order According to which Its Produce is Naturally Distributed among the Different Ranks of the People" (pp. 13–275)

From the first paragraph of the first chapter Smith makes clear his view that the primary cause of the wealth of nations is the increasing productivity of labour due to the development of the division of labour. Specialization of manual and craft skills underwrites the growth of labour productivity. The dispersion of activity that the ramifications of the division of labour bring about leads directly to the second chapter, dealing with the "propensity to truck, barter, and exchange one thing for another" (WN I.ii.1). The coordination of dispersed activity is effected through the principles of human sociability already outlined in *Theory of Moral Sentiments*: in civilized society the individual depends on too many people to have time to develop bonds of personal affection with all of them, and so must necessarily in meeting his or her own ends rely upon the self-love of others (I.ii.2):

> He will be more likely to prevail if he can interest their self-love in his favour, and show them that it is for his own advantage to do for him what he requires of them. Whoever offers to another a bargain of any kind, proposes to do this. Give me that which I want, and you shall have this which you want, is the meaning of every such offer; and it is in this manner that we obtain from one another the far greater part of those good offices which we stand in need of. It is not from the benevolence of the butcher, the brewer, or the baker, that we expect our dinner, but from their regard to their own interest. We address ourselves, not to their humanity but to their self-love, and never talk to them of our necessities but of their advantages.

The market only makes its appearance in chapter iii, as a constraint on the elaboration of the division of labour. If, Smith remarked, a nailer worked away in the depths of the Highlands producing a thousand nails a day, it would be a tall order to dispose of just one day's production locally in a year (I.iii.2). Access to road, river and sea transport made it possible for the products of specialized activities to be offered for sale across much larger spaces, and in return this promoted the further specialization of activities.

The division of labour therefore itself necessitates exchange: market relations are formed as a consequence of the principle of the division of labour plus human sociability. Each person supplies the greater part of their wants not directly through their own efforts but "by exchanging that surplus part of the produce of his own labour, which is over and above his own consumption,

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for such parts of other men's labour as he has occasion for" (I.iv.1). Note here the symmetry between interpersonal exchange and how Smith will later account for trade between nations – that he conceives all such exchanges as involving "surpluses", the principles of the division of labour underwriting both exchanges between persons and exchanges between nations. It also characterizes society as a whole (I.iv.1): "Every man thus lives by exchanging, or becomes in some measure a merchant, and the society itself grows to be what is properly called a commercial society." Buying and selling goods in this way requires the use of money; and it is not so much the nature of the money form and its convertibility that is at issue as the question of the valuation of products.

Smith points out that the use value of an object can diverge greatly from its exchange value (I. iv.13), but he immediately makes clear that he is interested only in the principles regulating the exchangeable value of commodities: what the "real measure", the real price of all commodities, might be (chapter v); what the components of this real price were (chapter vi); and why market prices are sometimes above, and sometimes below, the "natural or ordinary rate" (chapter vii).

The following exposition of price and value does appear confused if you take the view, as did Ricardo, that it is possible to move from labour values via prices to a precise analysis of the relation of wages, profits and rent, but this was not Smith's intent. He outlined instead general principles guiding an understanding of actual variations: the manifold causes of fluctuations to which markets were exposed. The labour embodied in (material) goods was their ultimate value, but it was irrevocably blurred by the daily operation of market transactions.

Labour was the core of value, but also a quantity that itself required a value. The "natural price" of anything that seems so logically related to a fluctuating "market price" was in turn the labour that it could purchase or command (I.v.1): "Labour, therefore, is the real measure of the exchangeable value of all commodities." And, as he went on to argue in chapter vi, if labour is the measure of all value, then both rent and profits could be resolved into labour (I.vi.17):

> The whole of what is annually either collected or produced by the labour of every society, or what comes to the same thing, the whole price of it, is in the manner originally distributed among some of its different members. Wages, profit, and rent, are the three original sources of all revenue as well as of exchangeable value. All other revenue is ultimately derived from some one or other of these.

Smith then distinguished the natural from the market price of labour, the former reflecting the quantity of necessaries and conveniences given for it, the latter being the quantity of money required to purchase it at any given moment, a circumstance related to "effectual demand" (I.vii. 12): "The quantity of every commodity brought to market naturally suits itself to the effectual demand." This qualification is then used to explain how markets function:

> The market price of every particular commodity is regulated by the proportion between the quantity which is actually brought to market, and the demand of those who are willing to pay the natural price of the commodity, or the whole value of the rent, labour, and profit, which must be paid in order to bring it thither. Such people may be called the effectual demanders, and their demand the effectual demand. (I.vii.8)

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Resolving these fluctuations was the image of gravity (I.vii.15): "The natural price … is … the central price, to which … prices … are constantly gravitating." The market price cannot for very long be below this price, for then the quantity of land, labour or stock devoted to its production diminishes, so that the quantity brought to market once more matched the effectual demand – "where there was perfect liberty" (I.vii.30). And so there were various factors that would cause the market price to depart from the natural price, some of which might well enable a premium to endure, an issue dealt with at greater length in (I.x.c), "Inequalities Occasioned by the Policy of Europe", which deals with those deviations from the condition of perfect liberty occasioned by the circumstance that, when people of the same trade "meet together, even for merriment and diversion", the conversation often "ends in a conspiracy against the publick, or in some contrivance to raise prices" (I.x.c.27), a line of argument taken up again in Book IV.

After lengthy disquisitions in the following chapter on variations in rent, the value of silver and other matters, Smith concludes this "very long chapter" (I.xi.p.1) (160–275), and for the first time clearly states the relationship between those who labour and other classes (I.xi.p.3): "The real value of the landlord's share, his real command of the labour of other people, not only rises with the real value of the produce, but the proportion of his share to the whole produce rises with it." Furthermore, improvements to the productive powers of labour that reduce the real price of manufactures tend to raise the rent of land, and so enhance the ability of the landlord to purchase more "conveniences, ornaments, or luxuries" (I.xi.p.4). And so the conclusion from Smith's historical exposition is, much like Ricardo's some 40 years later, that the interests of landowners were inimical to those of the great producing classes of society. This point is, however, established not theoretically but empirically, from an analysis of movements in the prices of corn and of silver, and of fluctuations in the levels of wages, profits and rents.

"Book II. Of the Nature, Accumulation, and Employment of Stock" (pp. 276–375)

This book has a two-page introduction that was probably written to restore direction to the narrative after the long diversion into money forms and prices in the later chapters of Book I. The story is taken back to a primitive society without a division of labour, and the argument made that, for the division of labour to develop, "stock" was necessary (II.3). The concluding paragraph of the introduction (II.6) states clearly what each of the five chapters in Book II will contain; here, again, Smith provides a clear overview of the structure of his argument.

There are two employments of stock that are profitable to its owner: using it to purchase and then resell goods (circulating capital); and using it to improve land, or purchase tools and instruments (fixed capital). Depending on the activity pursued, different proportions will be employed (II.i.6–10). Likewise, the "general stock of any country" is composed of the possessions of its inhabitants, including food, clothing and housing, this class of items being additional to the circulating and fixed capital, whose purpose is solely "[t]o maintain and augment the stock which may be reserved for immediate consumption" (II.i.26).

The second chapter is devoted to money that, although "the great instrument of commerce … makes no part of the revenue of the society to which it belongs" (II.ii.23). It does, however, assume many forms, and the remainder of this long chapter is devoted to the important matters of

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paper money and bullion, discounting bills of exchange, and banking; it also includes discussion of the Ayr bank failure of 1772 (II.ii.73–77) and the functioning of the Bank of England (II.ii.79–85).

The third chapter brings the discussion back to the distinction between productive and unproductive labour, making quite explicit the idea that the former fixes itself in a "vendible commodity which endures after that labour is past" (II.iii.2). Unproductive labour, no matter how honourable or useful it is, "perishes in the very instant of its production" (II.iii.2). The former is capable of replacing the capital with which it works but the latter cannot, and so subsists on revenues derived from productive labour. In this perspective the proportion between the two in any country represents a distinction between industry and idleness (II.iii.13). Here, criticism is directed not to idlers, paupers or beggars but to government (II.iii.31):

> The uniform, constant, and uninterrupted effort of every man to better his condition, the principle from which publick and national, as well as private opulence is originally derived, is frequently powerful enough to maintain the natural progress of things toward improvement, in spite both of the extravagance of government, and of the greatest errors of administration.

The following chapter is brief, dealing with stock lent at interest, and then the concluding fifth chapter discusses the employments of capital in manufacturing, farming and trading. It is here that Smith's analysis of international trade begins, building upon the location of capital and its use: the farm, or the shop (II.v.13). The capital of a wholesale merchant, however, moves from place to place; while that of a manufacturer might be located far from the source of his materials, and where the finished goods are consumed. It is better that the capital of a manufacturer should be located within his own country than overseas, for that way it employs productive labour and adds to the annual produce of that society; but all the same, it can be usefully employed working up materials imported from elsewhere. It may even be that a country lacks the capital to improve its lands, work up its produce into finished goods for local consumption, and transport the material or the finished produce overseas for exchange. Also important is the length of time separating investment from return: capital invested at home sees a much quicker return than capital invested overseas (II.v.27). In making this point Smith also makes use of the expression "round-about foreign trade of consumption" (II.v.28), further emphasizing his appreciation of the relation of time to the returns on capital employed. As a consequence (II.v.31):

> The capital, therefore, employed in the home-trade of any country will generally give encouragement and support to a greater quantity of productive labour in the country, and increase the value of its annual produce more than an equal capital employed in the foreign trade of consumption: and the capital employed in this latter trade has in both these respects a still greater advantage over an equal capital employed in the carrying trade.

Nonetheless, Smith concedes in closing the chapter that these rational considerations do not enter into the calculations of private persons. Wherever agriculture is the most profitable employment, the profit of individual and of country will coincide; but where this is not so, the capitals of private

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persons will be invested in ways that enrich them but not necessarily the country. Agriculture is starved of investment while fortunes are made elsewhere. The "trades which are carried on in towns" enjoy an advantage over those carried out in the country, an advantage lent them by the "policy of Europe". Consequently, "private persons frequently find it more for their advantage to employ their capitals in the most distant carrying trades of Asia and America, than in the improvement and cultivation of the most fertile fields in their own neighbourhood" (II.v.37). And the explanation for this distorted developmental path, where private and public interest diverge without prospect of reconciliation, forms the subject matter of *both* the following books.

"Book III. Of the Different Progress of Opulence in Different Nations" (pp. 376–427)

Book III presents a short stylized history of civilization since Roman times, in which the separation of town and country presupposes a mutual reliance for subsistence goods and manufactures. Smith opens by summarizing "the natural order" of economic development, where the development of towns is constrained by the subsistence that the country can supply to them; here, then, the improvement of agriculture takes precedence over the advance of manufactures and trade. Likewise, in the towns manufacture is preferred to foreign commerce, chiefly on the grounds of the secure and speedy return to investment that it provides (III.i.7), as argued in Book II. As also in Book II, that portion of domestic production that is sent abroad is surplus to domestic needs, exchanging that which has no demand at home for goods that do have such a demand. And so investment follows a natural order, first to agriculture, then to manufactures, and lastly to trade (III.i.8). However, "in all the modern states of Europe" this sequence has been inverted, and they have instead followed an "unnatural and retrograde order" (II.i.9). Books III and IV will therefore account for the way in which the natural order in the improvement of nations that is the analytical object of Books I and II has in practice been subverted.

Book III deals with the historical reasons for this, following the fall of the Roman Empire. Chapter II describes the lack of incentive to agricultural investment: lands left barren were taken over by great proprietors who were not great improvers, being more concerned with feuding, the acquisition of territory, ornament and display (III.ii.7). Where slaves were employed, matters were worse, since work can be squeezed out of the slave "by violence only, and not by any interest of his own" (III.ii.9). The development of sharecropping, as in France, introduced another class of agricultural labourers without any real interest in the improvement of land, the addition of labour services and taxation providing further discouragement (III.ii.18).

Chapter iii then turns to the progress of cities and towns. While initially in very poor condition, their inhabitants "arrive at liberty and independency much earlier than the occupiers of land in the country" (III.iii.3). "Order and good government, and along with them the liberty and security of individuals", arrived in the towns much earlier than in the country (III.iii.12). This difference led the inhabitants of those towns on coasts or rivers to look more to foreign parts for their subsistence than to their immediate hinterland, the Italian cities being the first in Europe to have been "raised by commerce to any considerable degree of opulence" (III.iii.13). Subsequent changes in taste and fashion altered domestic manufactures, which might work up local raw produce but which might also work with imported raw materials, like the silks of Lucca and Lyon (III.iii.19). Generally speaking, importation preceded local production.

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This then led to the final step: the stimulus to local raw materials given by such refined manufacturing. The improvement of agriculture therefore followed on from investment in manufacture and commerce, rather than preceded it (III.iv.1–4). "Order and good government" were introduced into the countryside under the impulse of commerce and manufacture, the most important of all their effects: "Mr. Hume is the only writer who, so far as I know, has hitherto taken notice of it" (III.iv.4). This interaction between landed proprietors and urban manufacturers, "two different orders of people, who had not the least intention to serve the publick", thus brought about "[a] revolution of the greatest importance to the publick happiness" (III.iv.17). This is, however, a reversal of the "natural" course of development (III.iv.18): "It is thus that through the greater part of Europe the commerce and manufactures of cities, instead of being the effect, have been the cause and occasion of the improvement and cultivation of the country."

This "unnatural" developmental path brings with it other problems, however. Compared with the North American colonies, the growth of population is hindered in Europe by the way that laws of inheritance keep land off the market, and so increase rents and prices. Restrictions on the import of cattle and grain are imposed, conferring a monopoly upon domestic agricultural producers. In England this had secured the independence of the farmer; France was, however, a different story, as were the cases of Portugal, Spain and Italy. Legislation that favours commerce and manufactures cannot secure the long-run development of domestic capital in the way that investment in cultivation can (III.iv.24); and from this point Smith then turns to the critique of legislation in Book IV – of the "system of commerce", which is described at the close of the brief introduction to Book IV as "the modern system".

"Book IV. Of Systems of Political Œconomy" (pp. 428–688)

Smith was hostile to "men of system", to "projects" and "projectors", and so the title of Book IV has a particular significance. The introduction opens by stating that political oeconomy is a branch of the "science of a statesman or legislator", aiming to show how the people of a nation might gain an income and so support themselves, and how "the state or commonwealth" might derive from their activity a revenue sufficient for public services. Strictly speaking, then, Smith has already covered the first point in Books I and II, and will turn to the second in Book V. This implies that *Wealth of Nations* presents his own "system": the "system of natural liberty". Meanwhile, he aims in Book IV to deal with "two different systems of political oeconomy": one "the system of commerce, the other that of agriculture" (IV.Introduction.1–2).

Book IV is a long book. The "agricultural system" is dealt with only in the ninth and last chapter, while the preceding eight are freighted with instances and examples elaborating points made in the first chapter, but which overall rather conceal the simplicity of Smith's argument: that legislation seeking to promote trading interests can only imperfectly advance the wealth of a nation, and is most likely to enrich those who propose such measures. He begins in chapter i from the familiar misconception that wealth consists in money and silver (and not therefore in labour). The idea that a country grows rich by amassing money is based, however, on a false analogy between the wealthy individual and the public interest. At (IV.i.7) Smith makes a rare allusion to the earlier literature, pointing out that Thomas Mun's *England's Treasure by Forraign Trade* (1664) draws a false analogy between the operations of foreign trade and those of agriculture. Mun

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had suggested that foreign trade was comparable to the husbandman sowing seed in the autumn: by promoting the export of goods a positive balance of trade was maintained that drew gold and silver into the country. These arguments favouring a positive balance of trade were, Smith argued, "partly solid and partly sophistical" (IV.i.9). They were well founded where private people found advantage in exporting silver and gold in return for imported goods, but they were "sophistical" where it was supposed that this required greater "attention of government" than the preservation or augmentation of useful commodities that "freedom of trade, without any such attention, never fails to supply in the proper quantity" (*Ibid*.).

All the same, these arguments convinced those to whom they were addressed (IV.i.10):

> They were addressed by merchants to parliaments, and to the councils of princes, to nobles and to country gentlemen; by those who were supposed to understand trade, to those who were conscious to themselves that they knew nothing about the matter. That foreign trade enriched the country, experience demonstrated to the nobles and country gentlemen, as well as to the merchants; but how, or in what manner, none of them well knew. The merchants knew perfectly in what manner it enriched themselves, It was their business to know it. But to know in what manner it enriched the country, was no part of their business.

Mun's proposition that as the source of wealth became a "fundamental maxim in the political œconomy, not of England only, but of all other commercial countries", to the neglect of inland trade where an equivalent investment yielded a greater return and provided most employment (*Ibid* .).

While it was true that a country needed gold and silver, and in the absence of mines of its own had to draw upon foreign sources, it was not the business of government to lend support to this: "we trust with perfect security that the freedom of trade, without any attention of government, will always supply us with the wine which we have occasion for", in the same way that we can trust that a country will be supplied with sufficient gold and silver (IV.i.11). This is regulated by the "effectual demand" in a country (IV.i.12), not by the actions of governments. Smith refused to be detained by seeking to prove that wealth was not money, but rather what money purchases (IV.i. 17): accumulating an unnecessary amount of gold and silver "is as absurd [an idea] as it would be to attempt to increase the good cheer of private families, by obliging them to keep an unnecessary number of kitchen utensils" (IV.i.19). Foreign trade is important, not because of the flows of gold and silver it occasions, but because it provides a market for the products of land and labour that are domestically in surplus, for which there is therefore no demand, importing something for which there is a domestic demand (IV.i.31).

Book IV, chapter i is lengthy, but in conclusion Smith notes that while some of the "best English writers upon commerce" do set out by acknowledging that the wealth of a country lies not in gold and silver but in its "lands, houses and consumable goods", they subsequently drift into the presumption that the accumulation of bullion is the true object of trade (IV.i.34). The policy prescriptions that result from this are of two kinds: those that restrict the import of goods for domestic consumption, and those that seek to expand the export of domestic production. He then lists the various measures under these heads: restraints upon the importation of foreign goods that could be produced at home (chapter ii); restraints upon imports of goods from countries with

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whom the balance of trade was supposed to be disadvantageous (chapter iii); the encouragement of exports through drawbacks, i.e. tax reliefs for exported goods (chapter iv); bounties or export subsidies (chapter v); advantageous treaties (chapter vi), which includes the Methuen Treaty between England and Portugal in its entirety (IV.vi.4–6); and the establishment of colonies (chapter vii) (IV.i.36–44) These are the "six principal means by which the commercial system proposes to increase the quantity of gold in any country by turning the balance of trade in its favour" (IV.i.45).

These six chapters contain much interesting material, but for the most part substantively elaborate and repeat points already outlined in the first chapter: reiterating the distinction between private and public wealth; that the unfettered pursuit of private interest rather than its direction by government is the true path to wealth; the need to distinguish individual interest from the public interest; the importance of investing capital to maintain the greatest amount of productive labour in a country; and a focus upon the products of land and labour as the real nature of wealth. Linking the second and third ideas, we find in chapter ii the sole instance in *Wealth of Nations* where the "invisible hand" makes its appearance, where an individual, intending only his own gain, is "led by an invisible hand to promote an end which was no part of his intention" (IV.ii.9). Adding that "[b]y pursing his own interest he frequently promotes that of the society more effectually than when he really intends to promote it", Smith simply reiterates a common theme running right through Book IV.

The discussion of colonies in chapter vii is, however, distinct, leading as it does to the conclusion that Great Britain derives "nothing but loss" from its colonies (IV. vii.c.65), a conclusion that points to the closing paragraph of Book V and which is here extended into consideration of the fiscal and representational issues that led to the American War of Independence. Smith suggests it is unlikely that colonial assemblies would ever levy taxes sufficient both to support their own expenditure and to make a suitable contribution to the general expenses of the British government: this was a problem where distance, numbers and variety would together exceed the managerial capacity of a sovereign (IV.vii.c.69). And we might also note the conclusion he drew from this (IV.vii.c.70):

> The colony assemblies, besides, cannot be supposed the proper judges of what is necessary for the defence and support of the whole empire. The care of that defence and support is not entrusted to them. It is not their business, and they have no regular means of information concerning it. The assembly of a province, like the vestry of a parish, may judge very properly concerning the affairs of its own particular district; but can have no proper means of judging concerning those of the whole empire.

In his remarks on the mechanics of representation and decision-making that follow, Smith sketches conceptions of parliamentary sovereignty and its limitations that appear to have long gone unrecognized, and which are indicative of what might have been contained in his arguments about law and government. Moreover, the *Wealth of Nations* was published in March 1776, and the Declaration of Independence was in July 1776; and when considering arguments about the representation of American colonists at Westminster Smith proceeded to the following observation (IV.vii.c.79):

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> The distance of America from the seat of government, besides, the natives of that country might flatter themselves, with some appearance of reason too, would not be of very long continuance. Such has hitherto been the rapid progress of that country in wealth, population and improvement, that in the course of a little more than a century, perhaps, the produce of American might exceed that of British taxation. The seat of the empire would then naturally remove itself to that part of the empire which contributed most to the general defence and support of the whole.

The two greatest events in the history of mankind, he went on, were the discovery of America and that of the passage to India via the Cape of Good Hope; but in the two or three centuries that had elapsed since those events, "it is impossible that the whole extent of their consequences can have been seen" (IV.vii.c.80). The world had become more connected as a result, with consequent advantages to all. But so far, the "natives of the East and West Indies" had suffered nothing but loss from this. Nonetheless, this was more by accident than design; at the time, Europeans were in the ascendant, so they could "commit with impunity every sort of injustice in those remote countries". But this ascendancy would weaken, and the world "may arrive at that equality of courage and force which, by inspiring mutual fear, can alone overawe the injustice of independent nations into some sort of respect for the rights of one another" (IV.vii.80).

In the first and second editions the argument then lurched straight into a consideration of the "Agricultural School", but in the third edition Smith added a concluding chapter that pulled the separate threads of the preceding chapters together into a "Conclusion of the Mercantile System" that is notable first of all for a detailed review of English legislation absent from the foregoing. The chapter concludes with the reiteration that (IV.viii.54):

> It cannot be very difficult to determine who have been the contrivers of this whole mercantile system; not the consumers, we may believe, whose interest has been entirely neglected; but the producers whose interest has been so carefully attended to; and among this latter class our merchants and manufacturers have been by far the principal architects.

After some 140 pages devoted to the mercantile system, attention then shifts in a final chapter of 25 pages to the "agricultural system".

As we have seen, Smith is clear that land and labour are the source of wealth; the agricultural system, by contrast, represents land as the unique source of wealth. But since this system "never has done, and probably never will do any harm in any part of the world" (IV.ix.2), he can deal with it much more briefly. In paragraph 3 the policies of Colbert are assimilated to "the prejudices of the mercantile system", preferring "the industry of the towns above that of the country". The physiocrats, as we now refer to them, had gone completely in the opposite direction, and he first outlines the system as represented by the *Tableau Économique* (IV.ix.10–14), then objects to the idea that manufacturing labour is treated as unproductive. While Smith's criticisms of physiocracy are the standard ones of the time,[10] he points out that the relationship between manufacturing and agricultural sectors is not simply one within nations, but also one between nations; so that the maintenance of such workers in Holland or Hamburg is provided by the cultivators of other countries (IV.ix.18). The perfect freedom of trade between countries, he argues, would therefore

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promote agriculture elsewhere, not limit it (IV.ix.20–26). In this chapter, therefore, Smith presents positive arguments for free trade in all goods between nations.

Then Smith moves into a central argument: that "perfect liberty" is required for the schema outlined in the *Tableau Économique* to function, any infringement diminishing the wealth produced. Not so, he argues; this is like the idea that the perfect health of a person can only be maintained by the most precise and exacting of regimens, and observation suggests that in fact perfect health can be maintained with a wide variety of regimens. Quesnay, he suggests, seems to have overlooked the fact that in a body politic the "natural effort which every man is making to better his own condition" can offset the bad effects of policy that might retard the progress of a nation, but which is unlikely to stop it altogether (IV.ix.28): "If a nation could not prosper without the enjoyment of perfect liberty and perfect justice, there is not in the world a nation which could ever have prospered." But having stated clearly this very important principle, contrasting the prescriptions of theorists to the pragmatics of governance, Smith shifts straight back to his critique of the physiocratic system's distinction of productive from unproductive labour.

He then sums up as follows (IV.ix.38):

> This system, however, with all its imperfections is, perhaps, the nearest approximation to the truth that has yet been published upon the subject of political oeconomy. … Though in representing the labour which is employed upon land as the only productive labour, the notions which it inculcates are perhaps too narrow and confined; yet in representing the wealth of nations as consisting, not in the unconsumable riches of money, but in the consumable goods annually reproduced by the labour of the society; and in representing perfect liberty as the only effective expedient for rendering this annual reproduction the greatest possible, its doctrine seems to be in every respect as just as it is generous and liberal.

But then again Smith shifts quickly away from this important point into a discussion of those societies that have, unlike Europe, favoured agriculture over manufactures: China, ancient Egypt, India, perhaps ancient Greece and Rome. Seven pages are devoted to these ruminations before he gets back to the point: the restraints upon manufacture that the physiocrats propose as a means to further agriculture, measures which are perhaps "more inconsistent than even the mercantile system" (IV.ix.49). And from a discussion of the way in which the two systems of political œconomy have sought to promote wealth he arrives at his central proposition (IV.ix.51):

> All systems either of preference or of restraint, therefore, being thus completely taken away, the obvious and simple system of natural liberty establishes itself of its own accord. Every man, as long as he does not violate the laws of justice, is left perfectly free to pursue his own interest his own way, and to bring both his industry and capital into competition with those of any other man, or order of men. The sovereign is completely discharged from a duty, in the attempting to perform which he must always be exposed to innumerable delusions, and for the proper performance of which no human wisdom or knowledge could ever be sufficient; the duty of superintending the industry of private people, and of directing it towards the employments most suitable to the interests of the society.

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The sovereign has only three duties: defence; upholding the rule of law and securing the protection of every member of society from injustice or the oppression of others; and maintaining public works and institutions "which it can never be for the interest of any individual, or small number of individuals, to erect and maintain", there being a discrepancy between the benefit that they would draw as individuals and that which society would gain.

And so Smith's statement of his "system of natural liberty" comes at the end of Book IV, and is only articulated as a means of making the transition to the final book: on how the state is to fund its duties.

"Book V. Of the Revenue of the Sovereign or Commonwealth" (pp. 689–947)

Book V is by far the longest of the five books but consists of only three chapters: the expenditures of the sovereign, sources of revenue, and public debt.

The income of the sovereign has two sources: from land or property belonging to the sovereign, and from the people. The first is dealt with very quickly, before attention is turned to taxation. Smith laid down four enduring principles: that the tax levied upon the person be proportionate to their ability to pay; that tax due be certain as to timing and manner of payment, and the amount payable; that taxes be levied in a time and manner suited to the contributor; and that taxes be as low as is possible (V.ii.b.3–6). There then follows an exhaustive review of forms of taxation in the light of these principles.

The third chapter opens with a discussion of the dispositions to save and to spend that draws upon the arguments of *Theory of Moral Sentiments*, first suggesting that a sovereign is no less distracted by frivolities and trinkets than his subjects, so that at best "his ordinary expence becomes equal to his ordinary revenue" (V.iii.3). The failure to set anything aside for defence means that when war looms debts are contracted. The ability of the sovereign to borrow presumes that the lenders have confidence in the state, and indeed, "commerce and manufactures can seldom flourish long in any state which does not enjoy a regular administration of justice, in which the people do not feel themselves secure in the possession of their property, in which the faith of contracts is not supported by law" (V.iii.7). Hence in such a state merchants and manufacturers will be prepared to lend to the state, since this does not impair their ability to carry on their own business; indeed, they further their business by lending money at interest to the state.

Smith's perspective upon all this is quickly made clear: "the enormous debts which presently oppress, and will in the long-run probably ruin, all the great nations of Europe" (V.iii.10) are unfunded, without collateral; and this opens the way into a detailed outline of the development of British public debt (V.iii.11–33) to which some comments about France are then added before Smith resumes the history of British public debt (V.iii.41–6). The argument that public debt is owed to the nationals of a country is dismissed, firstly by arguing that "the Dutch, as well as several other foreign nations" own large parts of British debt (V.iii.52), and then more importantly by examining the impact of debt and interest payments on the industries of town and country, and its connections to the incidence of taxation. The chapter, as well as the book, concludes with a consideration of the colonies as sources of income, returning to arguments already encountered in Book IV about the responsibilities of government and the difficulties of securing adequate payment for these from colonial administrations. In a final paragraph Smith draws the conclusion

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that, in the absence of adequate revenue, the only remedy is the reduction of expense, and that the greatest reduction of expense would be a divestment of the colonies (V.iii.92):

> The rulers of Great Britain have, for more than a century past, amused the people with the imagination that they possessed a great empire on the west side of the Atlantic. This empire, however, has hitherto existed in imagination only. It has hitherto been, not an empire, but the project of an empire; not a gold mine, but the project of a gold mine; a project which has cost, which continues to cost, and which, if pursued in the same way as it has been hitherto, is likely to cost immense expence, without being likely to bring any profit.

And so it is up to "our rulers" either to realize this dream or give it up; Great Britain should free herself of the costs of defending and maintaining these colonies, and "endeavour to accommodate her future views and designs to the real mediocrity of her circumstances". This is the closing line of *Wealth of Nations*.

5. Questions for discussion

1. Why does Smith begin *Wealth of Nations* with a discussion of the division of labour and not with an exposition of "value"?
2. Why should we need to look to *Theory of Moral Sentiments* to find Smith's arguments about human self-interest? Why are they of such great importance for the explanation of the wealth of a nation?
3. What is "unnatural" about the "retrograde order"?

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1. An earlier version was published in *History of European Ideas* 32 (2006), 57–89.
2. Tribe, *The Economy of the Word*, 115–6.
3. See Keith Tribe, "Adam Smith in English: From Playfair to Cannan", in K. Tribe, with H. Mizuta (ed.), *A Critical Bibliography of Adam Smith* (London: Pickering & Chatto, 2002), 33–40.
4. See lecture 3 for a summary of these.
5. See lecture 3, 41.
6. In W. R. Scott, *Adam Smith as Student and Professor* (Glasgow: Jackson & Sons, 1937).
7. David Hume, "Of Commerce", in *Political Essays*, Knud Haakonssen (ed.) (Cambridge: Cambridge University Press, 1994), 99.
8. *Ibid.*, 101.
9. Anon. [Henry Martyn], *Considerations on the East-India Trade* (London, 1701), reprinted in McCulloch, *A Select Collection of Early English Tracts on Commerce* [1856], 591–2; see T. W. Hutchison, *Before Adam Smith: The Emergence of Political Economy, 1662–1776* (Oxford: Blackwell, 1988), 84–5. See also *Wealth of Nations*, I.i.1 footnote 1, for a less specific instance from William Petty, *Another Essay in Political Arithmetick* (London, 1683).

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